

APPRAISAL REPORT

SAPHIRA APARTMENTS
9711 LINKMEADOW LANE BOULEVARD
HOUSTON, TX 77044
CBRE FILE NO. CB22US025797-1

CLIENT: CBRE CAPITAL MARKETS, INC

Date of Report: March 22, 2022

Ms. Laura Stolberg
Senior Business Services Coordinator
CBRE CAPITAL MARKETS, INC
190 Carondelet Plz
Saint Louis, Missouri 63105

RE: Appraisal of: Saphira Apartments
9711 Linkmeadow Lane
Houston, TX 77073
CBRE, Inc. File No. CB22US025797-1

Dear Ms. Stolberg:

At your request and authorization, CBRE, Inc. has prepared an appraisal of the market value of the referenced property. Our analysis is presented in the following Appraisal Report.

The subject is a 21-unit multi-family garden property located at 9711 Linkmeadow Lane in Houston, Texas. The property consists of one two-story apartment building. The improvements were constructed in 1960 and was extensively renovated in 2020-2021. The improvements are situated on a 0.441-acre site. As of the date of the rent roll (March 4, 2022), the improvements were 95.2% leased. CBRE is projecting a 94.0% long-term stabilized occupancy level.

It was reported that the current owners have expended approximately \$627,000 in property renovations and upgrades since they purchased the subject on August 31, 2020. It was reported that units 8, 9, 10 and 13 have yet to be renovated, but the owners intends to do so once these units are vacated.

Based on the analysis contained in the following report, the market value of the subject is concluded as follows:

MARKET VALUE CONCLUSION			
Appraisal Premise	Interest Appraised	Date of Value	Value Conclusion
As Is	Leased Fee Interest	March 8, 2022	\$3,300,000
Compiled by CBRE			

The report, in its entirety, including all assumptions and limiting conditions, is an integral part of, and inseparable from, this letter.

The following appraisal sets forth the most pertinent data gathered, the techniques employed, and the reasoning leading to the opinion of value. The analyses, opinions and conclusions were developed based on, and this report has been prepared in conformance with, the guidelines and recommendations set forth in the Uniform Standards of Professional Appraisal Practice (USPAP), and the requirements of the Code of Professional Ethics and Standards of Professional Appraisal Practice of the Appraisal Institute. It also conforms to Title XI Regulations and the Financial Institutions Reform, Recovery, and Enforcement Act of 1989 (FIRREA) updated in 1994 and further updated by the Interagency Appraisal and Evaluation Guidelines promulgated in 2010, as well as Freddie Mac underwriting guidelines.

This Appraisal Report is written under the guidelines for Freddie Mac Small Balance Loans, which require the body of the report contain 50 pages or less. As such, several items that are typically included in the body of the appraisal are included in the addenda. These items are an integral part of the Appraisal Report and should be read in conjunction with the body of the report. Note that this format is considered concise but is intended to comply with the reporting requirements set forth under Standards Rule 2 of USPAP.

This report is for the use and benefit of, and may be relied upon by:

- (a) CBRE Capital Markets, Inc, Freddie Mac and any successors and assigns ("Lender");
- (b) independent auditors, accountants, attorneys and other professionals acting on behalf of Lender;
- (c) Governmental agencies having regulatory authority over Lender;
- (d) Designated persons pursuant to an order or legal process of any court or governmental agency;
- (e) Prospective purchasers of the Mortgage; and
- (f) With respect to any debt (or portion thereof) and/or securities secured, directly or indirectly, by the Property which is the subject of this report, the following parties and their respective successors and assigns:
 - Any placement agent or broker/dealer and any of their respective affiliates, agents and advisors;
 - Any initial purchaser or subsequent holder of such debt and/or securities;
 - Any Servicer or other agent acting on behalf of the holders of such debt and/or securities;
 - Any indenture trustee;
 - Any rating agency; and
 - Any institutional provider from time to time of any liquidity facility or credit support for such financings.

In addition, this report, or a reference to this report, may be included or quoted in any offering circular, information circular, offering memorandum, registration statement, private placement memorandum, prospectus or sales brochure (in either electronic or hard copy format) in connection with a securitization or transaction involving such debt (or portion thereof) and/or securities.

Ms. Laura Stolberg
March 22, 2022
Page iii

It has been a pleasure to assist you in this assignment. If you have any questions concerning the analysis, or if CBRE can be of further service, please contact us.

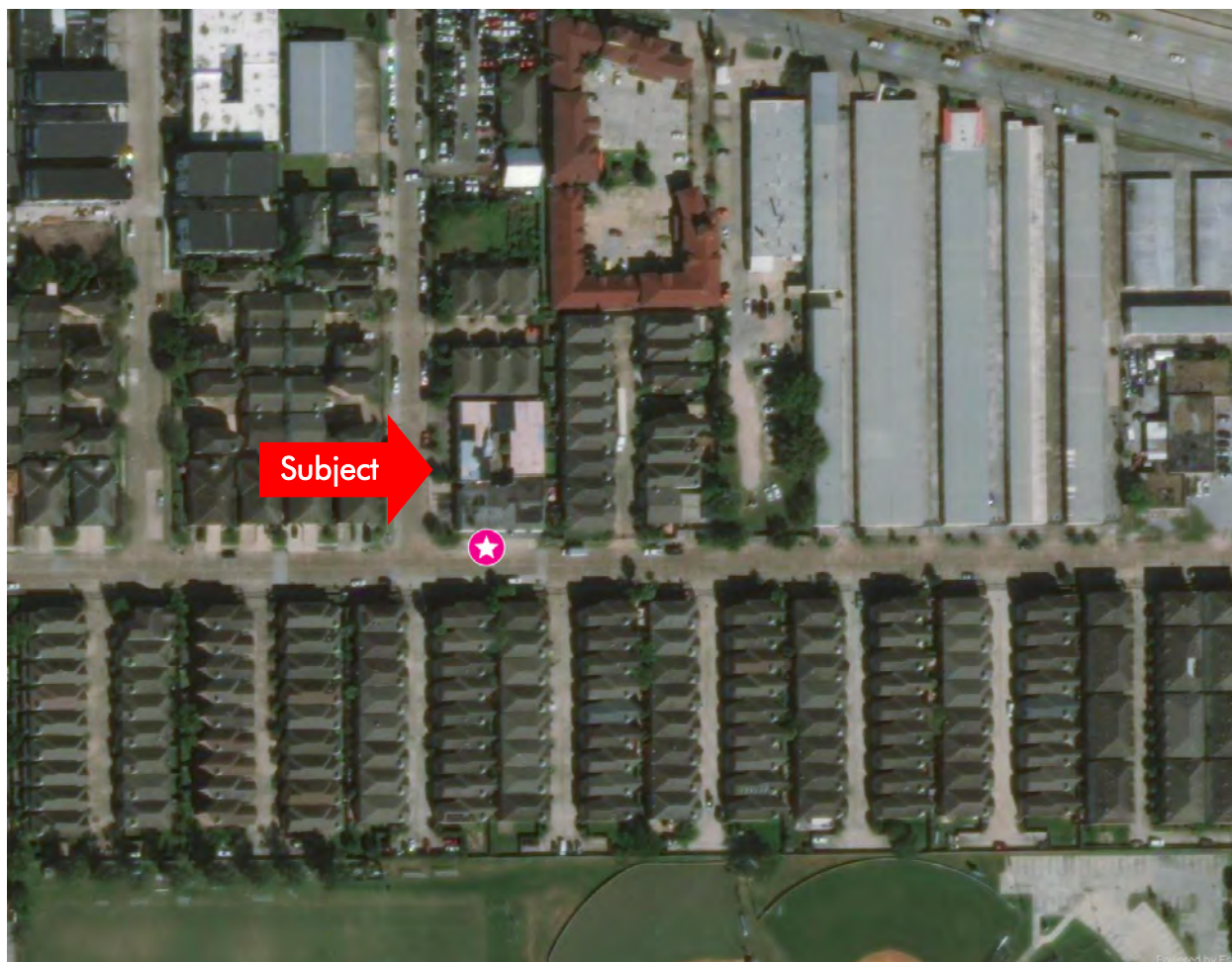
Respectfully submitted,

CBRE - VALUATION & ADVISORY SERVICES



Thomas Deal, MAI
First Vice President
Texas Certification No. 1321144-G
Phone: 713-840-6627
Email: Thomas.Deal@cbre.com

Primary Subject Photographs



Aerial View



View of Subject's Exterior



Exterior View

Executive Summary

Property Name	Saphira Apartments		
Location	9711 Linkmeadow Lane Houston, Harris County, TX 77044		
Parcel Number(s)	094-002-000-0001		
Client	CBRE Capital Markets, Inc		
Property Rights Appraised	Leased Fee Interest		
Date of Inspection	March 8, 2022		
Estimated Exposure Time	1 - 2 Months		
Estimated Marketing Time	2 - 3 Months		
Primary Land Area	0.44 AC	19,200 SF	
Buyer Profile	Investor-Local		
Financial Indicators			
Current Occupancy	95.2%		
Stabilized Occupancy	94.0%		
Stabilized Credit Loss	1.0%		
Overall Capitalization Rate	5.00%		
Pro Forma	Total	Per Unit	
Effective Gross Income	\$281,363	\$13,398	
Operating Expenses	\$117,020	\$5,572	
Expense Ratio	41.59%		
Net Operating Income	\$164,343	\$7,826	
VALUATION	Total	Per Unit	
Sales Comparison Approach	\$3,200,000	\$152,381	
Income Capitalization Approach	\$3,300,000	\$157,143	
Insurable Value	\$1,300,000	\$61,905	
CONCLUDED MARKET VALUE			
Appraisal Premise	Interest Appraised	Date of Value	Value
As Is	Leased Fee Interest	March 8, 2022	\$3,300,000
Compiled by CBRE			

STRENGTHS, WEAKNESSES, OPPORTUNITIES AND THREATS (SWOT)

Strengths/ Opportunities

- The subject was recently renovated and is currently 95.2% occupied.
- Good location in a community of steady forecasted growth.
- It is located just a few hundred yards south of Loop 610.
- The subject has above average quality and appeal.

Weaknesses/ Threats

- Smaller project size with limited amenities.
- Low barriers to entry

EXTRAORDINARY ASSUMPTIONS

An extraordinary assumption is defined as “an assignment-specific assumption as of the effective date regarding uncertain information used in an analysis which, if found to be false, could alter the appraiser’s opinions or conclusions.” ¹

- None noted

HYPOTHETICAL CONDITIONS

A hypothetical condition is defined as “a condition, directly related to a specific assignment, which is contrary to what is known by the appraiser to exist on the effective date of the assignment results but is used for the purposes of analysis.” ²

- None noted

OWNERSHIP AND PROPERTY HISTORY

Previous Sale:

The property previously sold on August 31, 2020 for an undisclosed amount. Despite our requests, details regarding the prior sale were not available in the normal course of business and it was necessary to complete the appraisal without the benefit of this information. Title to the property is currently vested in the name of 9711 Linkmeadow LLC. We are unaware of any additional ownership transfers of the property in the last three years.

Further, the property is not reportedly being offered for sale and is not under contract as of the current date. To the best of our knowledge, there have been no other transfers of ownership during the last three-year period. The ownership history according to the Harris County appraisal district is as follows:

Ownership History: 0940020000001		
9711 LINKMEADOW LN 18 HOUSTON TX 77025		
Owner		Effective Date
9711 LINKMEADOW LLC		08/31/2020
FOWLER DONALD J		03/06/2002
TAPIADOR THELMA		03/21/1990
LIBERTY FEDERAL S & L		10/18/1988
[end of record]		

¹ The Appraisal Foundation, *USPAP, 2020-2021* (Effective January 1, 2020 through December 31, 2022)

² The Appraisal Foundation, *USPAP, 2020-2021* (Effective January 1, 2020 through December 31, 2022)

Table of Contents

Primary Subject Photographs	iv
Executive Summary	v
Table of Contents	vii
Introduction	8
Local Area Analysis	10
Site Analysis	15
Improvements Analysis	17
Zoning	20
Tax Assessment Data	21
Market Analysis	24
Highest and Best Use	28
Sales Comparison Approach	29
Income Capitalization Approach	33
Reconciliation of Value	46
SUPPLEMENTAL REPORT ITEMS	
A Certification	
B Assumptions and Limiting Conditions	
C Additional Subject Pictures	
D Exposure/Marketing Time	
E Freddie Mac Inspection Details	
F Scope of Work and Data Sources	
G Appraisal Methodology	
H Site Maps	
I Insurable Replacement Cost	
J Improved Sale Data Sheets	
K Rent Comparable Data Sheets	
L Operating Data	
M Legal Description	
N Client Contract Information	
O Qualifications	
P Appraisal Relationship Disclosure Letter	

Introduction

INTENDED USE AND USER OF REPORT

This appraisal is to be used by CBRE Capital Markets, Inc for Financing. No other use is permitted, and no other user may rely on our report unless as specifically indicated in the report.

Intended users are those who an appraiser intends will use the appraisal or review report. In other words, appraisers acknowledge at the outset of the assignment that they are developing their expert opinions for the use of the intended users they identify. Although the client provides information about the parties who may be intended users, ultimately it is the appraiser who decides who they are. This is an important point to be clear about: The client does not tell the appraiser who the intended users will be. Rather, the client tells the appraiser who the client needs the report to be speaking to, and given that information, the appraiser identifies the intended user or users. It is important to identify intended users because an appraiser's primary responsibility regarding the use of the report's opinions and conclusions is to those users. Intended users are those parties to whom an appraiser is responsible for communicating the findings in a clear and understandable manner. They are the audience.³

This report is for the use and benefit of, and may be relied upon by:

- a) CBRE Capital Markets, Inc, Freddie Mac and any successors and assigns ("Lender");
- b) independent auditors, accountants, attorneys and other professionals acting on behalf of Lender;
- c) governmental agencies having regulatory authority over Lender;
- d) designated persons pursuant to an order or legal process of any court or governmental agency;
- e) prospective purchasers of the Mortgage; and
- f) with respect to any debt (or portion thereof) and/or securities secured, directly or indirectly, by the Property which is the subject of this report, the following parties and their respective successors and assigns:
 - any placement agent or broker/dealer and any of their respective affiliates, agents and advisors;
 - any initial purchaser or subsequent holder of such debt and/or securities;
 - any Servicer or other agent acting on behalf of the holders of such debt and/or securities;
 - any indenture trustee;
 - any rating agency; and
 - any institutional provider from time to time of any liquidity facility or credit support for such financings

In addition, this report, or a reference to this report, may be included or quoted in any offering circular, information circular, offering memorandum, registration statement, private placement memorandum, prospectus or sales brochure (in either electronic or hard copy format) in connection with a securitization or transaction involving such debt (or portion thereof) and/or securities.

³ Appraisal Institute, *The Appraisal of Real Estate*, 15th ed. (Chicago: Appraisal Institute, 2020), 40.

PURPOSE OF THE APPRAISAL

The purpose of this appraisal is to estimate the As Is market value of the subject property.

DEFINITION OF VALUE

The current economic definition of market value agreed upon by agencies that regulate federal financial institutions in the U.S. (and used herein) is as follows:

The most probable price which a property should bring in a competitive and open market under all conditions requisite to a fair sale, the buyer and seller each acting prudently and knowledgeably, and assuming the price is not affected by undue stimulus. Implicit in this definition is the consummation of a sale as of a specified date and the passing of title from seller to buyer under conditions whereby:

- 1) buyer and seller are typically motivated;
- 2) both parties are well informed or well advised, and acting in what they consider their own best interests;
- 3) a reasonable time is allowed for exposure in the open market;
- 4) payment is made in terms of cash in U.S. dollars or in terms of financial arrangements comparable thereto; and
- 5) the price represents the normal consideration for the property sold unaffected by special or creative financing or sales concessions granted by anyone associated with the sale.⁴

INTEREST APPRAISED

The value estimated represents the leased fee interest, which is defined below:

Leased Fee Interest - The ownership interest held by the lessor, which includes the right to receive the contract rent specified in the lease plus the reversionary right when the lease expires.

APPRAISAL METHODOLOGY

Please see the Addenda for a description each Approach considered in our analysis.

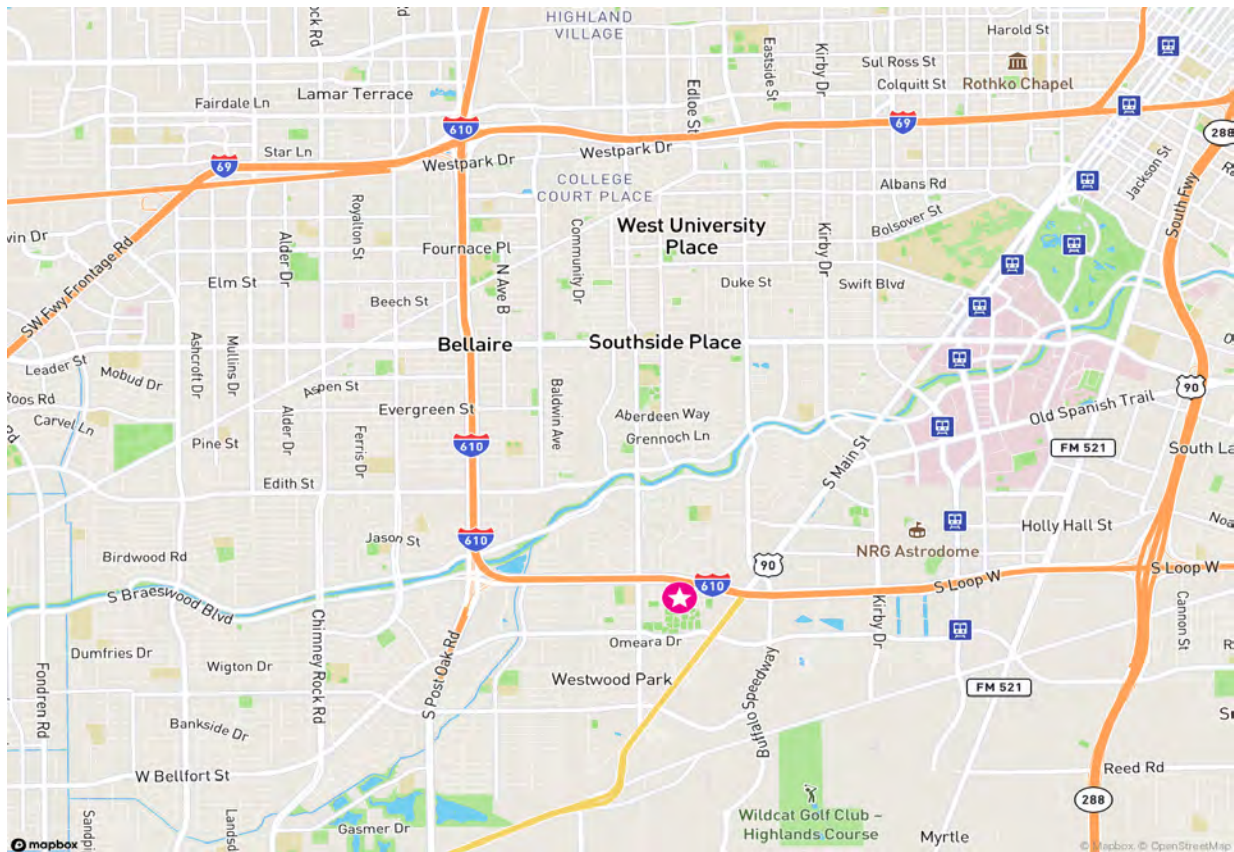
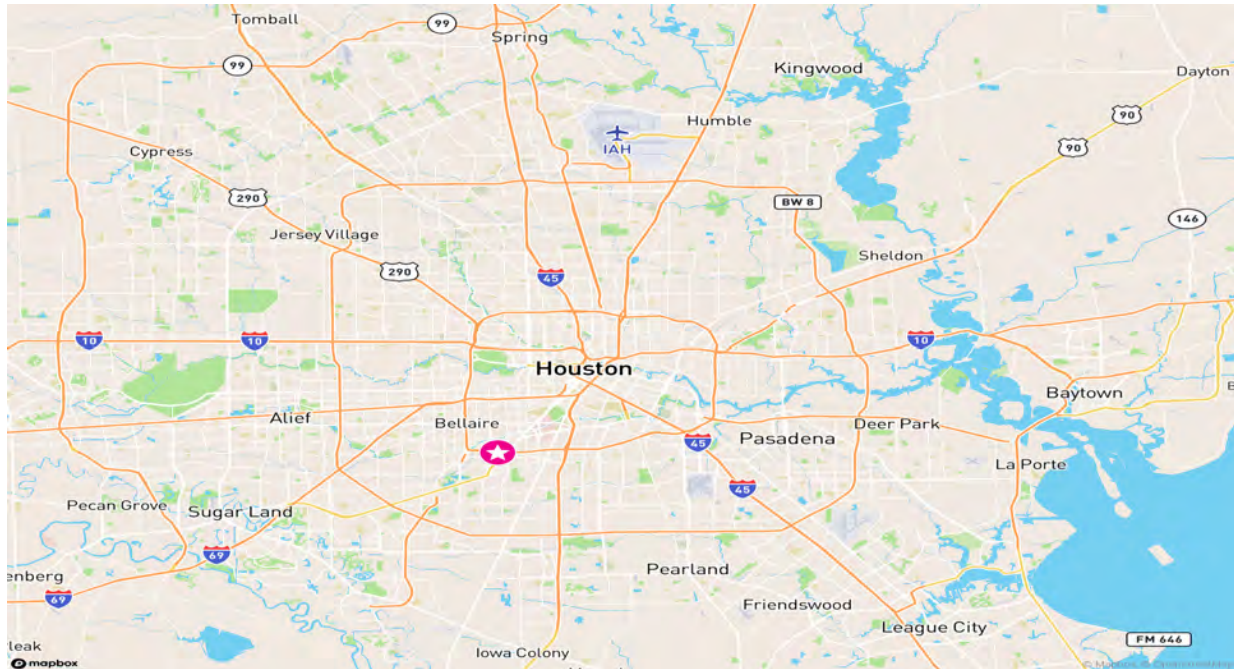
Methodology Applicable to the Subject

In valuing the subject, only the sales comparison and income capitalization approaches are applicable and have been used. The cost approach is not applicable in the estimation of market value because of significant depreciation that is inherent in the property. For older properties, like the subject, investors do not use the cost approach in their underwriting decisions. The exclusion of this approach does not compromise the credibility of the results rendered herein.

⁴ Interagency Appraisal and Evaluation Guidelines; December 10, 2010, Federal Register, Volume 75 Number 237, Page 77472.

Local Area Analysis

Area and Neighborhood Map



LOCATION

The subject is in the city of Houston and is considered a suburban location. The subject is situated in located just south of Loop 610 with good access to the Texas Medical Center, The Galleria area and is about 6 to 7 miles southwest of the Houston Central Business District. General neighborhood characteristics are summarized below.

NEIGHBORHOOD CHARACTERISTICS	
Location:	Suburban
Built-Up:	Over 75%
Life Cycle Stage	Stability
Change in Present Land Use:	Not Likely
Neighborhood Boundaries	
North:	Interstate 69
South:	Holmes Road/ ALT 90
East:	Highway 288
West:	Chimney Rock Road
Source: CBRE	

NEIGHBORHOOD HOUSING TRENDS

The neighborhood housing trends and home proves are summarized below:

NEIGHBORHOOD HOUSING TRENDS			
Property Values:	Stable	Owner Occupied %:	45.7%
Demand/Supply:	In Balance		
Marketing Time:	< 3 Months		
	Range with Fewest	Range with Most	Median Value
Housing Prices:	<\$50,000	\$300,000 - \$399,999	\$481,428
Year Built:	1939 or Earlier	2000-2009	1984
Multiple Sources Compiled by CBRE			

LAND USE

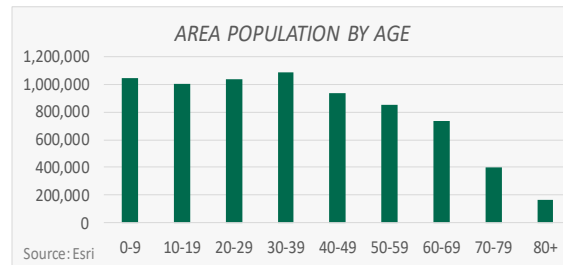
The local land use patterns are summarized as follows.

NEIGHBORHOOD LAND USE			
Present Land Use %			
Single Unit Residential:	35%	Industrial:	15%
Multi-Housing:	20%	Agricultural:	0%
Commercial:	20%	Other:	10%
Commercial Land Use Patterns			
Primary Commercial Thoroughfares:	Loop 610, S. Main, Bellaire, Kirby Drive, S. Post Oak and Chimney Rock Rd.		
Major Commercial Developments:	Rice University, Texas Medical Center & NRG Stadium		
Source: CBRE			

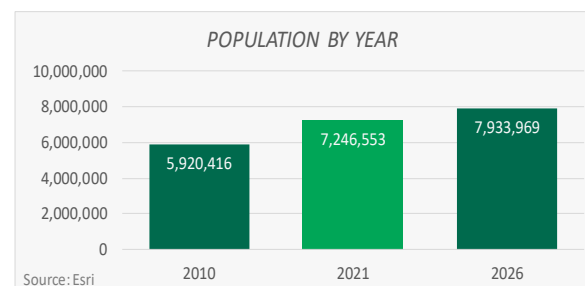
The neighborhood is considered to fall within the Houston-The Woodlands-Sugar Land, TX Metropolitan Statistical Area of the subject. Key information about the area is provided in the following tables.

POPULATION

The area has a population of 7,246,553 and a median age of 35, with the largest population group in the 30-39 age range and the smallest population in 80+ age range.



Population has increased by 1,326,137 since 2010, reflecting an annual increase of 1.9%. Population is projected to increase by an additional 687,416 by 2026, reflecting 1.8% annual population growth.

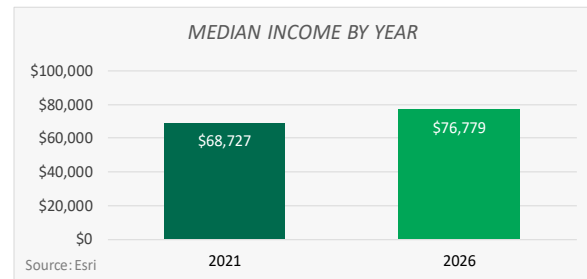


Source: ESRI, downloaded on Mar, 13 2022

POPULATION

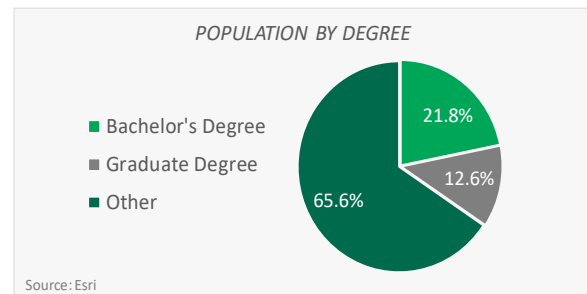
INCOME

The area features an average household income of \$99,741 and a median household income of \$68,727. Over the next five years, median household income is expected to increase by 11.7%, or \$1,610 per annum.

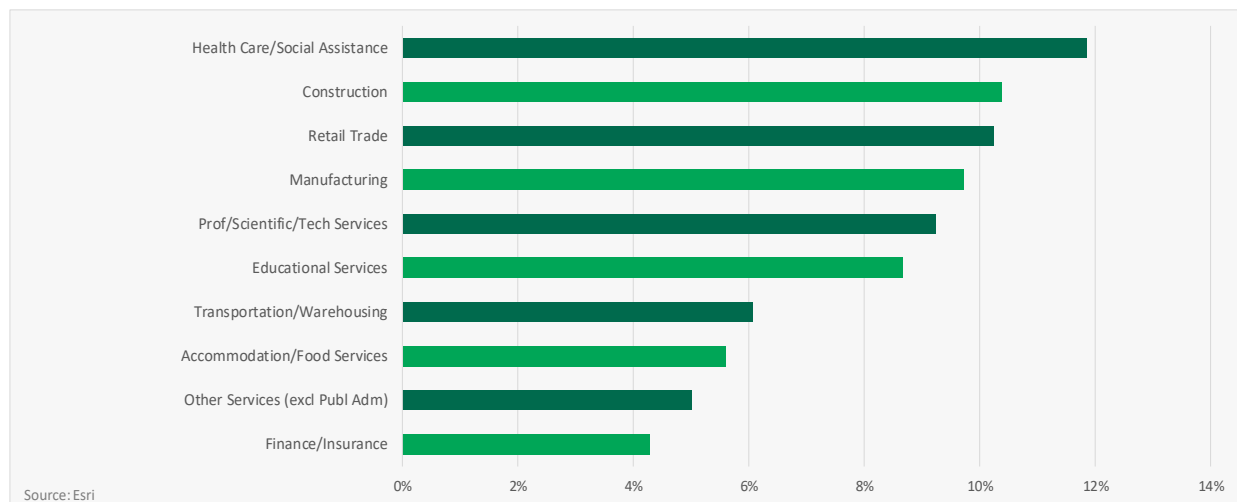


EDUCATION

A total of 34.4% of individuals over the age of 24 have a college degree, with 21.8% holding a bachelor's degree and 12.6% holding a graduate degree.



EMPLOYMENT



The area includes a total of 3,423,064 employees and has a 4.8% unemployment rate. The top three industries within the area are Health Care/Social Assistance, Construction and Retail Trade, which represent a combined total of 32% of the population.

Source: ESRI, downloaded on Mar, 13 2022; Unemployment Rate Source: U.S. Bureau of Labor Statistics

DEMOGRAPHICS

Selected neighborhood demographics in 1-, 3- and 5-mile radius from the subject are shown in the following table:

SELECTED NEIGHBORHOOD DEMOGRAPHICS			
9711 Linkmeadow Lane Houston, TX 77044	1 Mile Radius	3 Mile Radius	5 Mile Radius
Population			
2026 Total Population	21,106	135,910	480,246
2021 Total Population	19,914	128,294	447,535
2010 Total Population	17,164	113,449	393,210
2000 Total Population	15,786	103,576	363,484
Annual Growth 2021 - 2026	1.17%	1.16%	1.42%
Annual Growth 2010 - 2021	1.36%	1.12%	1.18%
Annual Growth 2000 - 2010	0.84%	0.91%	0.79%
Households			
2026 Total Households	9,642	58,870	198,352
2021 Total Households	9,121	55,680	183,853
2010 Total Households	7,962	49,162	160,014
2000 Total Households	7,180	45,600	148,957
Annual Growth 2021 - 2026	1.12%	1.12%	1.53%
Annual Growth 2010 - 2021	1.24%	1.14%	1.27%
Annual Growth 2000 - 2010	1.04%	0.75%	0.72%
Income			
2021 Median Household Income	\$59,508	\$74,342	\$60,622
2021 Average Household Income	\$95,758	\$136,905	\$106,787
2021 Per Capita Income	\$42,526	\$59,555	\$43,940
2021 Pop 25+ College Graduates	7,275	58,241	148,053
Age 25+ Percent College Graduates - 2021	54.1%	66.4%	49.3%
Source: ESRI			

CONCLUSION

As shown above, the population within the subject neighborhood has shown positive growth over the past 21 years and continued positive increases are expected for the next five years. The neighborhood currently has a demographic profile with a median household income of \$74,342 within a three mile radius of the subject. The area is also reflecting an average household income of \$136,905 for 2021. The outlook for the neighborhood is for continued positive increases. As a result, the demand for existing developments is expected to be good for properties that are maintained with strong ownership.

Site Analysis

The following chart summarizes the salient characteristics of the subject site.

SITE SUMMARY AND ANALYSIS			
Physical Description			
Gross Site Area	0.44 Acres	19,200 Sq. Ft.	
Net Site Area	0.44 Acres	19,200 Sq. Ft.	
Primary Road Frontage	Linkmeadow Lane	180 Feet	
Secondary Road Frontage	Link Vally Drive	120 Feet	
Excess Land Area	None		
Surplus Land Area	None		
Shape	Rectangular		
Topography	Generally Level		
Parcel Number(s)	094-002-000-0001		
Zoning District	None		
Flood Map Panel No. & Date	48201C0870M	2-May-19	
Flood Zone	Zone X (Unshaded)		
Adjacent Land Uses	Commercial and Residential		
Earthquake Zone	n/a		
Comparative Analysis		<u>Rating</u>	
Visibility	Average		
Functional Utility	Average		
Traffic Volume	Average		
Adequacy of Utilities	Assumed adequate		
Landscaping	Average		
Drainage	Assumed adequate		
Utilities		<u>Provider</u>	<u>Availability</u>
Water	City of Houston		Yes
Sewer	City of Houston		Yes
Natural Gas	CenterPoint Energy		Yes
Electricity	CenterPoint Energy		Yes
Telephone	Various Providers		Yes
Mass Transit	Metropolitan Transit Authority		Yes
Other		<u>Yes</u>	<u>No</u>
Detrimental Easements			X
Encroachments			X
Deed Restrictions			X
Reciprocal Parking Rights		x	
Various sources compiled by CBRE			

ENVIRONMENTAL ISSUES/CONCLUSIONS

Although CBRE was not provided an Environmental Site Assessment (ESA), a tour of the site did not reveal any obvious issues regarding environmental contamination or adverse conditions. Our tour included walking the site, as well as cursory inspections of the buildings and parking.

The appraiser is not qualified to detect the existence of potentially hazardous material or underground storage tanks which may be present on or near the site. The existence of hazardous materials or underground storage tanks may affect the value of the property. For this appraisal, CBRE, Inc. has specifically assumed that the property is not affected by any hazardous materials that may be present on or near the property.

FLOOD ZONE

Zones C and X (unshaded) are flood insurance rate zones used for areas outside the 0.2-percent-annual-chance floodplain. No Base Flood Elevations (BFEs) or depths are shown in this zone, and insurance purchase is not required.

CONCLUSION

The site is well located and afforded good access and visibility from roadway frontage. The size of the site is typical for the area and use, and there are no known detrimental uses in the immediate vicinity. Overall, there are no known factors which are considered to prevent the site from development to its highest and best use, as if vacant, or adverse to the existing use of the site.

Improvements Analysis

The following chart shows a summary of the improvements.

IMPROVEMENTS SUMMARY AND ANALYSIS		
Property Type	Multifamily	(Multi-Family Garden)
Number of Buildings	1	1 Apartment Buildings, 1 Laundry Facility/Boiler Room
Number of Stories	2	
Gross Building Area	19,247 SF	
Net Rentable Area	17,640 SF	
Number of Units	21	
Average Unit Size	840 SF	
Development Density	47.6 Units/Acre	
Parking Improvements	Open and Covered	
Parking Spaces:	28	
Parking Ratio (spaces/unit)	1.33	
Year Built / Renovated	1960 / 2020	
Actual Age	62 Years	
Effective Age	35 Years	
Total Economic Life	65 Years	
Remaining Economic Life	30 Years	
Age/Life Depreciation	53.8%	
Functional Utility	Typical	

Source: Various sources compiled by CBRE

UNIT MIX				
Unit Mix/Type	No. Units	Percent of Total	Unit Size (SF)	NRA (SF)
Efficiency	2	9.5%	395	790
1 BR, 1 BA	2	9.5%	637	1,274
2 BR, 1 BA	5	23.8%	846	4,230
2 BR, 2 BA	8	38.1%	885	7,080
3 BR, 2 BA	3	14.3%	1,059	3,177
3 BR, 1.5 BA	1	4.8%	1,089	1,089
Total/Average:	21	100.0%	840	17,640

Source: Various sources compiled by CBRE

IMPROVEMENT DESCRIPTION	
Improvement Summary	Description
Foundation	Reinforced Concrete
Frame	Wood
Exterior Walls	Brick Veneer and Wood Siding
Interior Walls	Textured and Painted Drywall
Roof	Flat
Ceiling	Drywall
HVAC System	Roof mounted HVAC units
Exterior Lighting	Mercury Vapor Fixtures
Interior Lighting	Incandescent and fluorescent fixtures
Flooring	Faux Wood, Ceramic Tile, and Carpet
Appliance	An electric range/oven with vent-hood, frost-free refrigerator
Plumbing	Assumed Adequate
Stairwells	Exterior - Metal Construction with Concrete Treads and Landings
Elevators	None
Smoke Detectors	Yes
Sprinkler System	No
Amenities	Laundry Facility, Flat Roofs, Rooftop A/C Units, Under-building Parking, Ceiling Fans, Granite Countertops, Plank Flooring, Stainless Steel Appliances and Tile Backsplash
Furnishings	Personal property excluded
Parking	Asphalt Paved Covered and Open Parking
Meters/RUBS	The Tenants just pay for there own Electricity, Owner pays for all other Utilities.
Landscaping	Minimal Grass and Shrubs
Source: Various sources compiled by CBRE	

YEAR BUILT

The subject was built in 1960 and is considered to be in above average to good condition. It was reported that the current owners have spent \$627,000 on property renovations and upgrades since the time of purchase. Some of the improvements include electrical, completely new unit interiors, flooring, windows, HVAC, plumbing, fencing, carpentry, full exterior paint, paving, new tile, and updated signage.

FURNITURE, FIXTURES AND EQUIPMENT

FF&E items contained in the subject are similar to those contained in the comparable sales and do not have any significant or measurable impact on the overall value conclusion.

CONDITION ANALYSIS

Although CBRE was not provided a Property Condition Assessment (PCA), a tour of the improvements did not reveal any significant maintenance issues. Our tour of the improvements included a cursory inspection of the buildings, surface parking, maintenance facilities, and laundry room.

DEFERRED MAINTENANCE

Our inspection of the property indicated no major items of deferred maintenance and none were reported by the property owner's.

ADDITIONAL SUPPORTING INFORMATION

The following items are included in the Addenda:

- Freddie Mac Inspection Details
- Insurable Value Schedule
- Additional pictures
- Pictures of deferred maintenance items, if applicable

CONCLUSION

The improvements are in above average to good overall condition for this market area and are considered to be typical for the age and location in regard to improvement design and layout, as well as interior and exterior amenities. Overall, there are no known factors that could be considered to adversely impact the marketability of the improvements.

Zoning

The following chart summarizes the subject's zoning requirements.

ZONING SUMMARY	
Current Zoning	None
Uses Permitted	Apartment, Various
Zoning Change	Not likely
Compiled by CBRE	

ANALYSIS AND CONCLUSION

The subject is located in a jurisdiction that does not utilize zoning as a form of land use control. Additional information may be obtained from the appropriate governmental authority.

Deed restrictions were not researched. A title policy was not available for review.

Tax Assessment Data

The following summarizes the local assessor's estimate of the subject's market value, assessed value, and taxes, and does not include any furniture, fixtures, or equipment. The CBRE estimated tax obligation is also shown.

AD VALOREM TAX INFORMATION						
Parcel	Assessor's Parcel No.	Parcel Description	2020	2021	Preliminary 2022	Pro Forma
1	094-002-000-0001	LTS 1 & 2 BLK 6 WOODSIDE PLAZA SEC. 3	\$747,085	\$1,270,817	\$1,367,529	\$1,504,282
Subtotal			\$747,085	\$1,270,817	\$1,367,529	\$1,504,282
% of Assessed Value			100%	100%	100%	100%
Final Assessed Value			1,270,817	1,270,817	1,367,529	\$1,504,282
General Tax Rate (per \$100 A.V.)			2.399396	2.330662	2.330662	2.330662
General Tax:			\$30,492	\$29,618	\$31,872	\$35,060
Effective Tax Rate (per \$100 A.V.)			2.399396	2.330662	2.330662	2.330662
Total Adjusted Taxes			\$30,492	\$29,618	\$31,872	\$35,060
Taxes per Unit			\$1,452	\$1,410	\$1,518	\$1,670
Source: Assessor's Office						

Harris County has an annual assessment program where all real property is assessed at 100% of the estimated fair market value as of January 1 of each year. The annual real estate tax is based on the January 1 assessed value and a real estate tax rate determined each year by the Harris County Board of Supervisors. The preliminary 2022 assessed value has just been published and the owners have until May 15th to file a tax protest.

TAX COMPARABLES

As a crosscheck to the subject's applicable real estate taxes, CBRE has reviewed the real estate tax information for comparable properties in the market area. The following table summarizes the comparables employed for this analysis:

AD VALOREM TAX COMPARABLES						
Comparable Rental	Meyer Oaks	Morgan Manor	Greenbriar Bend	Broadmead	Subject	Owner's Pro Forma Estimate
Year Built	1966	1972	1973	1979	1960	1960
No. Units	152	44	30	235	21	21
Tax Year	2022	2022	2022	2022	Preliminary 2022	2022
Assessor's Market Value	\$16,825,396	\$3,615,946	\$3,448,166	\$25,553,391	\$1,367,529	\$1,504,282
AV Per Unit	\$110,693	\$82,181	\$114,939	\$108,738	\$65,120	\$71,632
% Change	33%	21%	23%	51%	8%	
Tax Year	2021	2021	2021	2021	2021	
Assesors Market Value	\$12,644,614	\$2,989,564	\$2,814,432	\$16,961,454	\$1,270,817	
AV Per Unit	\$83,188	\$67,945	\$93,814	\$72,176	\$60,515	
% Change	38%	16%	0%	7%	70%	
Tax Year	2020	2020	2020	2020	2020	
Assesors Market Value	\$9,173,807	\$2,580,000	\$2,824,120	\$15,800,000	\$747,085	
AV Per Unit	\$60,354	\$58,636	\$94,137	\$67,234	\$35,575	
Source: Assessor's Office						

The above tax comparables represent the Preliminary 2022, 2021, and 2020 assessments. The comparables' 2022 assessments range from \$82,181 to \$114,939 with an average of \$104,138. The CBRE Pro Forma estimate for the subject represents 45.6% of our estimated market value and an assessed value of \$1,504,282 or \$71,632 per unit. This is below the range of comparables on a per unit basis. The CBRE Pro Forma estimate is 10.0% above the recently published preliminary 2022 assessment of \$1,367,529 or \$65,120 per unit.

RATIO OF ASSESSED VALUE TO SALE PRICE

Indicated in the chart below are sales of similar apartments in Harris County. The assessment ratio comparables range from 42% to 66% of their prior year sale prices, with an average of 55%. The CBRE Pro Forma assessment represent 45.6% of our estimated market value. The CBRE Pro Forma estimate is reasonable based on the range of the tax comparables and also considers the property improved overall condition based on the recently completed renovations.

RATIO OF ASSESSED VALUE TO SALE PRICE						
Comparable Sale	Kelkind Manor	Smart Living At Stuebner	Monterrey Vista Apartments	Woodland Glen	Del Rio Apartments	Subject
Year Built	1984	2015	1973	1962	1957	1960
No. Units	72	112	28	30	26	21
Tax Year	2021	2020	2020	2021	2020	2022
Assessor's Market Value	\$2,118,002	\$7,274,749	\$1,073,696	\$2,892,707	\$786,297	\$1,367,529
Date of Sale	Jan-20	Feb-19	Apr-19	Jan-20	Apr-19	
Sales Price	\$5,049,999	\$11,000,000	\$2,000,000	\$4,280,000	\$1,700,000	
AV Ratio	42%	66%	54%	68%	46%	
Source: Assessor's Office						

CONCLUSION

Based on the foregoing, the total taxes for the revised stabilized subject have been estimated as \$35,060 for the base year of our analysis, based upon an increased assessed value of

\$1,504,282 or \$71,632 per unit, which is 10.0% above the preliminary 2022 assessment of \$1,367,529 or \$65,120 per unit.

Texas is a non-disclosure state and the sale of the subject property would not automatically trigger a re-assessment to the transaction price.

Market Analysis

The market analysis forms a basis for assessing market area boundaries, supply and demand factors, and indications of financial feasibility. Primary data sources utilized for this analysis includes Apartment Data Services.

The subject is in the Houston market and is considered a Class C+/B Garden style apartment community. According to the Institute of Real Estate Management (in *Income/Expense Analysis: Conventional Apartments*), the following apartment property definitions may be applicable towards the subject:

Garden Type Projects: We consider this to be a group of low-rise apartment buildings situated on a sizable, landscaped plot, under one management.

MARKET OVERVIEW

The following discussion illustrates some general observations in the surrounding multifamily market.

Market Summary

Market statistics for the Houston area and the subject's Almeda/ South Main submarket are shown in the following table:

MULTIFAMILY MARKET STATISTICS		
Category	Houston Area	Almeda/ South Main Submarket
Existing Supply (Units)	708,551	4,973
Absobtion (Units) past 12 Months	33,845	68
Average Occupancy	91.5%	89.4%
Change in the Last 3 Months	-0.8%	5.7%
Change in the Last 6 Months	-0.1%	6.1%
Change in the Last 12 Months	3.5%	-5.8%
Average Rent PSF	\$1.35	\$1.13
Change in the Last 3 Months	6.5%	4.3%
Change in the Last 6 Months	7.2%	3.4%
Change in the Last 12 Months	14.7%	12.7%
Date of Survey	February-22	February-22
Source: Apartment Data Services		

Market Trends

Important characteristics of the Houston market and the Almeda/ South Main submarket are summarized below:

MULTIFAMILY MARKET TRENDS						
Date	Houston Area			Almeda/ South Main Submarket		
	Rent Per Unit	Rent PSF	Occupancy	Rent Per Unit	Rent PSF	Occupancy
2017	\$1,011	\$1.15	89.3%	\$849	\$1.01	88.1%
2018	\$1,023	\$1.16	89.6%	\$855	\$1.01	88.6%
2019	\$1,051	\$1.19	89.3%	\$861	\$1.02	92.0%
2020	\$1,043	\$1.18	88.4%	\$863	\$1.02	91.7%
2021	\$1,188	\$1.34	91.4%	\$947	\$1.12	88.5%
Feb-22	\$1,201	\$1.35	91.5%	\$959	\$1.13	89.4%

Source: Apartment Data Services

Submarket Overview

According to ADS Market-Trac, the subject's **Almeda/ South Main** submarket has 2 Class A projects that supply 631 units with an average occupancy level of 57.2% and 7 Class B projects (1,402 units - 96.4% occupied). There are 10 Class C projects (1,858 units - 94.1% occupied) and 7 Class D projects (1,082 units - 91.2% occupied). The majority of units in the submarket are Class C units.

	Floorplans (ALL)				
	Total	Class A	Class B	Class C	Class D
# of Apartments	26	2	7	10	7
# of Units	4,973	631	1,402	1,858	1,082
Size (sf)	848	991	779	830	884
Price (\$/mo)	959	1,501	1,031	886	674
Rental Rate (\$/sf/mo)	1.13	1.52	1.32	1.07	0.76
Occupancy	89.4%	57.2%	96.4%	94.1%	91.2%

This table shows statistics for the ALL units in the market. Along with the totals, the table displays the information by Class (A,B,C and D). Prices and rental rates are displayed as effective - net of concessions and electric utility adjustments.

Stable vs Lease-Up Communities

Communities operating for 13+ months are defined as Stable, while those operating for less than 13 months are considered to be in Lease-Up. The table below compares the submarket's Stable communities to those that are currently in Lease-Up. When a newly constructed property gets its first Certificate of Occupancy (CO) for the front portion of the property, the entire project counts towards that market's occupancy level. For example, if a 300-unit project receives its first CO's on 40 units, the remaining 260 units count as vacant units towards the submarket average.

Stable vs Lease-Up Communities						
	Class A	Stable	Lease-Up	Class B	Stable	Lease-Up
# of Apartments	2	1	1	7	7	0
# of Units	631	296	335	1,402	1,402	0
Size (sf)	991	979	1,001	779	779	0
Price (\$/mo)	1,501	1,628	1,389	1,031	1,031	0
Rental Rate (\$/sf/mo)	1.52	1.66	1.39	1.32	1.32	0.00
Occupancy	57.2%	97.0%	22.1%	96.4%	96.4%	0.0%

Communities operating for 13+ months are defined as **Stable**, while those operating for less than 13 months are considered to be in **Lease-Up**. The table below compares the market's Stable communities to those that are currently in Lease-Up.

There is currently 1 Class A project in lease-up (335 units), and there are no Class B projects in lease-up. Stabilized Class A units have an average occupancy of 97.0%.

Development Activity

The following chart shows new developments in the submarket that are currently proposed, under construction, or recently opened in the twelve months prior to February 2022:

Recently Opened (Past 12 months)

#	Name (1)	Submarket	Units (336)	Occupancy	Movelns	Management Co
1	Prose South Main 12111 Main St, Houston, TX 77035	Almeda/ South Main Southwest Houston	336	30%	Nov 2021	Greystar

Under Construction

No **Under Construction** apartments in this submarket.

Proposed

No **Proposed** apartments in this submarket.

The subject's submarket currently has no proposed or currently under construction properties at this time. There is currently 1 property (336 units) which has recently opened in the past 12 months and is currently 30% occupied.

Demand Generators

The subject submarket is within one of the expanding segments of the Houston area. This area is seeing steady increases in residential development and population growth. A major contributor

to this growth is the subject's proximity to Loop 610, which provides access to the Texas Medical Center and the Galleria area to the NW.

COMPETITIVE PROPERTIES

Comparable properties were surveyed in order to identify the current occupancy within the competitive market. The comparable data is summarized in the following table:

SUMMARY OF COMPARABLE MULTIFAMILY RENTALS				
Comp. No.	Name	Location	Distance from Subject	Occupancy
1	220 West Alabama	220 W Alabama, Houston, TX	5.3 Miles	85%
2	Meyer Oaks	4600 Beechnut, Houston, TX	1.4 Miles	96%
3	Morgan Manor	6815 Academy, Houston, TX	2.0 Miles	98%
4	Greenbriar Bend	7000 Greenbriar St, Houston, TX	2.3 Miles	97%
5	Broadmead	2801 Broadmead, Houston, TX	1.1 Miles	95%
Subject	Saphira Apartments	9711 Linkmeadow Lane, Houston, Texas		95%
Compiled by CBRE				

The comparable properties surveyed reported occupancy rates of 85.0% or better, with a 95.0% average and all are currently in average condition for this market area.

SUBJECT ANALYSIS AND CONCLUSION

The following table provides local market occupancy characteristics along with the subject's current and concluded stabilized occupancy.

OCCUPANCY CONCLUSIONS	
Houston Area	91.5%
Almeda/ South Main Submarket	89.4%
Rent Comparables	95.0%
Subject's Current Occupancy	95.2%
Subject's Stabilized Occupancy	94.0%
Compiled by CBRE	

The subject's stabilized occupancy conclusion of 94.0% is supported by the current operations of the subject and the rent comparables.

Highest and Best Use

In appraisal practice, the concept of highest and best use represents the premise upon which value is based. The four criteria the highest and best use must meet are:

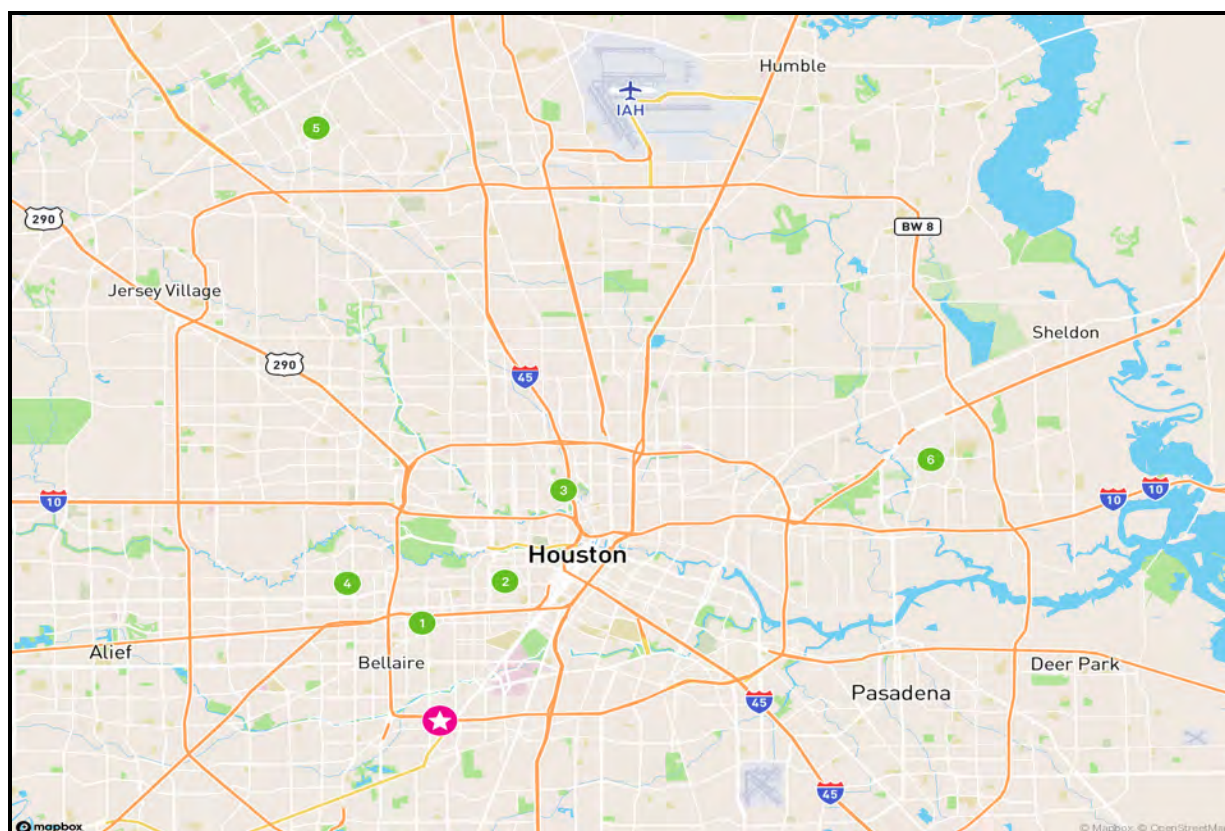
- legally permissible;
- physically possible;
- financially feasible; and
- maximally productive.

The highest and best use analysis of the subject is as follows.

HIGHEST & BEST USE		
SUBJECT PROPERTY		
HBU Characteristic	As Vacant	As Improved
Legally Permissible	Yes	Yes
Physically Possible	Yes	Yes
Financially Feasible	Yes	Yes
Maximally Productive	Yes	Yes
Most Likely Buyer	Investor - Local	Investor - Local
Conclusion	Development of Apartments	Continued Apartment Use
Compiled by CBRE		

Sales Comparison Approach

The following map and table summarize the comparable data used in the valuation of the subject. A detailed description of each transaction is included in the addenda.



SUMMARY OF COMPARABLE MULTIFAMILY SALES															
No.	Property Name	Transaction Type	Date	Interest Transferred	YOC / Reno'd	Property Subtype	No. Units	Avg. Unit Size	Distance from Subj	Actual Sale Price	Adjusted Sale Price ¹	Price Per Unit ¹	Occ.	NOI Per Unit	OAR
1	4115 Drake Street Apartments, 4115 Drake Street Houston, TX 77005	Sale	Jul-19	Fee Simple/Freehold	1962 / 2016	Multi-unit Garden	16	638	3.3 Miles	\$2,325,820	\$2,325,820	\$145,364	88%	\$7,954	5.47%
2	2300 Park Street, 2300 Park Street Houston, TX 77019	Sale	Jul-19	Fee Simple/Freehold	1966 / 2009	Multi-unit Garden	20	627	5.1 Miles	\$2,830,000	\$2,830,000	\$141,500	100%	\$7,312	5.17%
3	Woodland Glen, 300 Pecore Street Houston, TX 77009	Sale	Jan-20	Fee Simple/Freehold	1962 / 2013	Multi-unit Garden	30	737	8.6 Miles	\$4,280,000	\$4,280,000	\$142,667	97%	\$7,800	5.47%
4	Lincoln Galleria Apartments, 2100 Bering Drive Houston, TX 77057	Sale	Apr-21	Leased Fee	1991 / 2021	Multi-unit Garden	200	903	5.4 Miles	\$30,000,000	\$30,000,000	\$150,000	93%	\$6,754	4.50%
5	The Bammel Apartments, 13222 Bammel North Houston Houston, TX 77066	Sale	Jul-21	Leased Fee	2020	Multi-unit Garden	132	831	20 Miles	\$20,555,000	\$20,555,000	\$155,720	98%	\$7,010	4.50%
6	Bella Vista Apartments, 14340 Wallisville Rd Houston, TX 77049	Sale	Dec-21	Leased Fee	2018	Multi-unit Garden	84	806	17 Miles	\$11,500,000	\$11,500,000	\$136,905	98%	\$6,501	4.75%
Subj. Pro Forma	Saphira Apartments, 9711 Linkmeadow Lane Houston, TX 77044	---	---	---	1960 / 2020	Multi-family Garden	21	840	---	---	---	---	94.00%	\$7,826	---

¹ Adjusted sale price for cash equivalency, lease-up and/or deferred maintenance (where applicable)
Compiled by CBRE

The sales utilized represent the best data available for comparison with the subject. They were selected from our research of comparable improved sales within the greater Houston area.

These sales were chosen due to the smaller project size the subject property, their proximity to the region of the subject, age, construction quality, and income characteristics.

SUMMARY OF ADJUSTMENTS

Based on our comparative analysis, the following chart summarizes the adjustments warranted to each comparable.

MULTIFAMILY SALES ADJUSTMENT GRID							Subj. Pro Forma
Comparable Number	1	2	3	4	5	6	
Transaction Type	Sale	Sale	Sale	Sale	Sale	Sale	---
Transaction Date	Jul-19	Jul-19	Jan-20	Apr-21	Jul-21	Dec-21	---
Interest Transferred	Fee	Fee	Fee	Leased Fee	Leased Fee	Leased Fee	---
	Simple/Freehold	Simple/Freehold	Simple/Freehold				
Year Built/Renovated	1962 / 2016	1966 / 2009	1962 / 2013	1991 / 2021	2020	2018	1960 / 2020
Property Subtype	Multi-unit Garden	Multi-unit Garden	Multi-unit Garden	Multi-unit Garden	Multi-unit Garden	Multi-unit Garden	Multi-family Garden
No. Units	16	20	30	200	132	84	21
Avg. Unit Size	638	627	737	903	831	806	840
Actual Sale Price	\$2,325,820	\$2,830,000	\$4,280,000	\$30,000,000	\$20,555,000	\$11,500,000	---
Adjusted Sale Price ¹	\$2,325,820	\$2,830,000	\$4,280,000	\$30,000,000	\$20,555,000	\$11,500,000	---
Price Per Unit ¹	\$145,364	\$141,500	\$142,667	\$150,000	\$155,720	\$136,905	---
Occupancy	88%	100%	97%	93%	98%	98%	94%
NOI Per Unit	\$7,954	\$7,312	\$7,800	\$6,754	\$7,010	\$6,501	\$7,826
OAR	5.47%	5.17%	5.47%	4.50%	4.50%	4.75%	---
Adj. Price Per Unit	\$145,364	\$141,500	\$142,667	\$150,000	\$155,720	\$136,905	
Property Rights Conveyed	0%	0%	0%	0%	0%	0%	
Financing Terms ¹	0%	0%	0%	0%	0%	0%	
Conditions of Sale	0%	0%	0%	0%	0%	0%	
Market Conditions (Time)	8.0%	8.0%	6.0%	3.0%	2.0%	1.0%	
Subtotal - Price Per Unit	\$156,993	\$152,820	\$151,227	\$154,500	\$158,834	\$138,274	
Location	-5%	-5%	0%	5%	5%	10%	
Project Size	0%	0%	0%	0%	0%	0%	
Age/Condition	0%	0%	0%	-5%	-5%	-5%	
Quality of Construction	-5%	0%	0%	-5%	-5%	0%	
Avg. Unit Size	5%	5%	5%	0%	0%	0%	
Project Amenities	0%	0%	0%	0%	0%	0%	
Total Other Adjustments	-5%	0%	5%	-5%	-5%	5%	
Indicated Value Per Unit	\$149,143	\$152,820	\$158,788	\$146,775	\$150,892	\$145,187	
Absolute Adjustment	23%	18%	11%	18%	17%	16%	

¹ Adjusted for cash equivalency, lease-up and/or deferred maintenance (where applicable)

Compiled by CBRE

A discussion of each adjustment category is provided below.

CATEGORY ADJUSTMENT NARRATIVE

Market Conditions:

All of the Comparables required upward adjustments for time of sale due to the improved market conditions since their dates of sale.

Location:

Comparables 1 and 2 are superior to the subject property due to superior locational characteristics that garner higher rental rates, requiring a downward adjustment. Comparables

4, 5 and 6 are inferior to the subject and required upward adjustments. The remaining comparable 3 location is generally similar to the subject property.

Age and Condition:

Comparables Four, Five and Six are superior to the subject property due to newer construction, requiring a downward adjustment. The remaining comparables are generally similar to the subject property. The remaining comparables were built between 1962-1966 and are generally similar to the subject in relation to age and condition.

Average Unit Size:

Comparables One, Two and Three are inferior to the subject property with respect to average unit size, requiring an upward adjustment. The remaining comparables are similar to the subject property. Adjustments for average unit size are only made when the variance is greater than 100 sf.

Project Amenities:

Each of the comparables is similar to the subject with respect to project amenities.

EFFECTIVE GROSS INCOME MULTIPLIER ANALYSIS

The EGIM reflects the relationship between effective gross annual income and sales price. The following illustrates the EGIM for each of the sales analyzed herein.

EFFECTIVE GROSS INCOME MULTIPLIER ANALYSIS			
Sale No.	Occupancy	OER	EGIM
Subject	93%	41.59%	---
1	88%	45.88%	9.89
3	97%	48.97%	9.33
6	98%	49.06%	10.73
5	98%	50.99%	10.89
2	100%	51.11%	9.46
4	93%	56.51%	9.66
Compiled by CBRE			

Generally speaking, as occupancy levels and expense ratios increase, EGIMs tend to decrease. Based upon this relationship and given the subject's stabilized occupancy and low-level OER estimate, an EGIM towards the upper end of the range is appropriate.

SALES COMPARISON APPROACH CONCLUSION

The following table presents the estimated value for the subject as indicated by the sales comparison approach:

SALES COMPARISON APPROACH

Total Units	X	Value Per Unit	=	Value
21	X	\$149,000	=	\$3,129,000
21	X	\$154,000	=	\$3,234,000

EGI	X	EGIM	=	Value
\$281,363	X	10.00	=	\$2,813,626
\$281,363	X	10.75	=	\$3,024,648

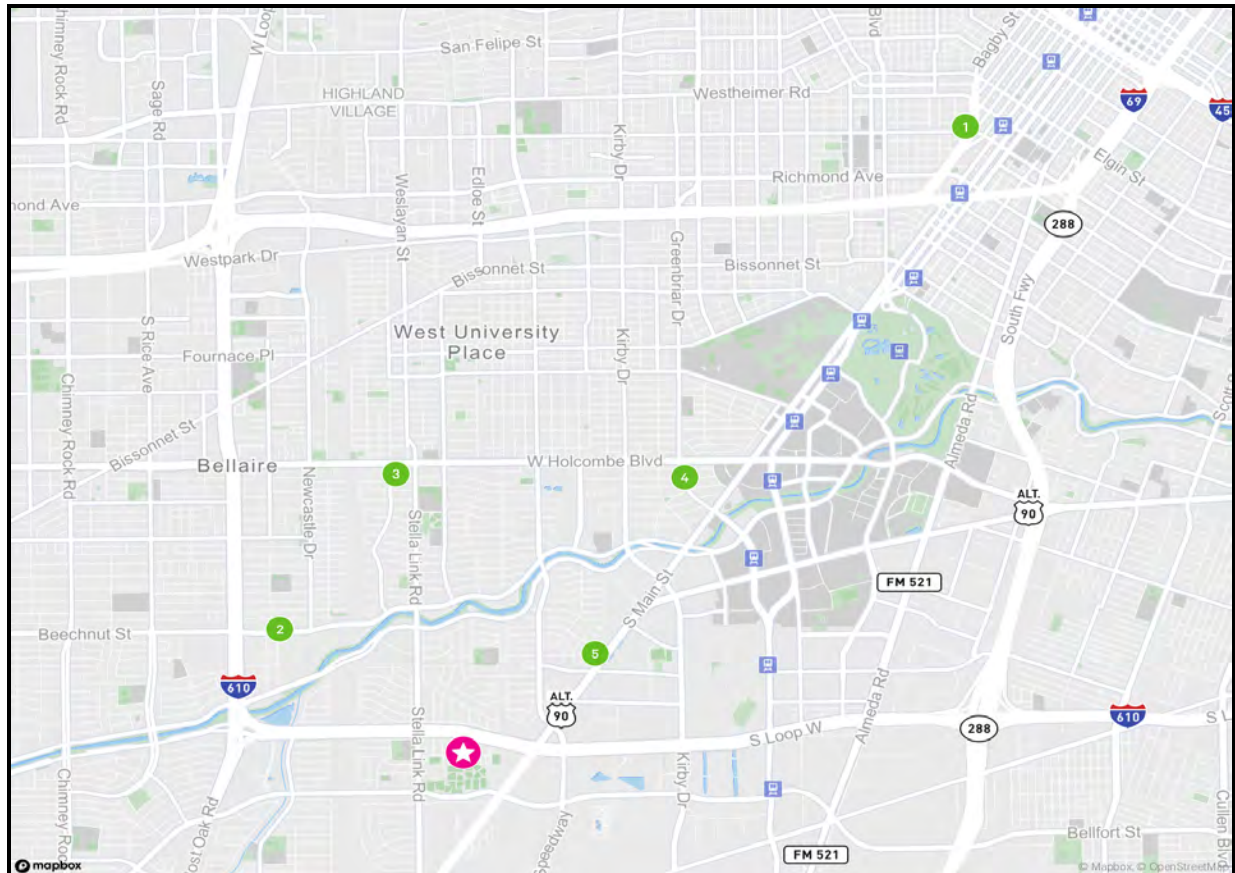
VALUE CONCLUSION

Indicated Value As Is	\$3,200,000
Rounded	\$3,200,000
Value Per Unit	\$152,381

Compiled by CBRE

Income Capitalization Approach

The following map and table summarize the primary comparable data used in the valuation of the subject. A detailed description of each comparable is included in the addenda.



SUMMARY OF COMPARABLE MULTIFAMILY RENTALS

No.	Property Name	Location	YOC / Reno'd	Property Subtype	Occ.	No. Units	Distance from Subj
1	220 West Alabama	220 W Alabama Houston, TX 77006	1960 / 2018	Multi-unit Walk-up	85%	33	5.3 Miles
2	Meyer Oaks	4600 Beechnut Houston, TX 77096	1966 / 2018	Multi-unit Garden	96%	152	1.4 Miles
3	Morgan Manor	6815 Academy Houston, TX 77025	1972	Multi-unit Garden	98%	44	2.0 Miles
4	Greenbriar Bend	7000 Greenbriar St Houston, TX 77030	1973	Multi-unit Garden	97%	30	2.3 Miles
5	Broadmead	2801 Broadmead Houston, TX 77025	1979 / 2017	Multi-unit Garden	95%	235	1.1 Miles
Subj.	Saphira Apartments	9711 Linkmeadow Lane, Houston, Texas	1960 / 2020	Multi-family Garden	95%	21	---

Compiled by CBRE

SUBJECT RENTAL INFORMATION

The following table shows the subject's unit mix along with the quoted rental rates, average in-place rents.

SUBJECT RENTAL INFORMATION							
Type	No. of Units	Unit Size (SF)	Unit Occ.	Avg. Quoted \$/Unit	Rent Per SF	Avg. In-Place \$/Unit	Rent Per SF
Efficiency	2	395	100%	\$700	\$1.77	\$700	\$1.77
1 BR, 1 BA	2	637	100%	\$1,075	\$1.69	\$1,075	\$1.69
2 BR, 1 BA	5	846	100%	\$1,185	\$1.40	\$1,150	\$1.36
2 BR, 2 BA	8	885	100%	\$1,325	\$1.50	\$1,325	\$1.50
3 BR, 2 BA	3	1,059	67%	\$1,450	\$1.37	\$1,250	\$1.18
3 BR, 1.5 BA	1	1,089	100%	\$1,400	\$1.29	\$1,400	\$1.29
Total/Average:	21	840	95%	\$1,230	\$1.46	\$1,190	\$1.42
Compiled by CBRE							

MARKET RENT ESTIMATE

In order to estimate the market rates for the various floor plans, the subject unit types have been compared with similar units in the comparable projects.

One-Bedroom and Efficiency Units

SUMMARY OF COMPARABLE RENTALS ONE BEDROOM UNITS				
Comparable	Plan Type	Size (SF)	Rental Rates	
			\$/Mo.	\$/SF
Meyer Oaks	1BR/1BA	800 SF	\$1,035	\$1.29
Meyer Oaks	1BR/1BA	730 SF	\$973	\$1.33
Meyer Oaks	1BR/1BA	745 SF	\$1,021	\$1.37
Morgan Manor	1 BR, 1BA	645 SF	\$891	\$1.38
Meyer Oaks	1BR/1BA	750 SF	\$1,060	\$1.41
Meyer Oaks	1BR/1BA	800 SF	\$1,125	\$1.41
Meyer Oaks	1BR/1BA	800 SF	\$1,135	\$1.42
Meyer Oaks	1BR/1BA	740 SF	\$1,079	\$1.46
Meyer Oaks	1BR/1BA	660 SF	\$967	\$1.47
Meyer Oaks	1BR/1BA	745 SF	\$1,106	\$1.48
Meyer Oaks	1BR/1BA	750 SF	\$1,115	\$1.49
Broadmead	1 BR, 1 BA TH	768 SF	\$1,150	\$1.50
Greenbriar Bend	1BR/1BA	720 SF	\$1,125	\$1.56
Broadmead	1 BR, 1 BA	684 SF	\$1,075	\$1.57
Broadmead	1 BR, 1 BA	635 SF	\$1,015	\$1.60
Greenbriar Bend	1BR/1BA	650 SF	\$1,075	\$1.65
Subject (Avg. Quoted)	1 BR, 1 BA	637 SF	\$1,075	\$1.69
Subject (Concluded)	1 BR, 1 BA	637 SF	\$1,075	\$1.69
Subject (Avg. Quoted)	Efficiency	395 SF	\$700	\$1.77
Subject (Concluded)	Efficiency	395 SF	\$700	\$1.77
Morgan Manor	Efficiency	405 SF	\$773	\$1.91
220 West Alabama	1 BR 1 BA	456 SF	\$975	\$2.14
220 West Alabama	Efficiency	356 SF	\$900	\$2.53
220 West Alabama	Efficiency	326 SF	\$875	\$2.68
Compiled by CBRE				

The subject's quoted rental rates are within the range indicated by the rent comparables on a per month basis and per square foot basis. Considering the available data, the quoted rental rates for the subject's one-bedroom units were adopted in estimating the current market rental levels for these floorplans.

Two-Bedroom Units

SUMMARY OF COMPARABLE RENTALS TWO BEDROOM UNITS				
Comparable	Plan Type	Size (SF)	Rental Rates	
			\$/Mo.	\$/SF
Morgan Manor	2 BR, 1 BA	881 SF	\$1,028	\$1.17
Subject (Concluded)	2 BR, 1 BA	846 SF	\$1,150	\$1.36
Subject (Avg. Quoted)	2 BR, 1 BA	846 SF	\$1,185	\$1.40
Broadmead	2 BR, 1 BA	850 SF	\$1,250	\$1.47
Meyer Oaks	2BR/2BA	910 SF	\$1,250	\$1.37
Meyer Oaks	2BR/2BA	980 SF	\$1,303	\$1.33
Subject (Avg. Quoted)	2 BR, 2 BA	885 SF	\$1,325	\$1.50
Subject (Concluded)	2 BR, 2 BA	885 SF	\$1,325	\$1.50
Meyer Oaks	2BR/2BA	910 SF	\$1,350	\$1.48
Meyer Oaks	2BR/2BA	930 SF	\$1,355	\$1.46
Meyer Oaks	2BR/2BA	1,050 SF	\$1,387	\$1.32
Meyer Oaks	2BR/2BA	1,085 SF	\$1,395	\$1.29
Meyer Oaks	2BR/2BA	1,065 SF	\$1,398	\$1.31
Greenbriar Bend	2BR/2BA	965 SF	\$1,400	\$1.45
Meyer Oaks	2BR/2BA	1,095 SF	\$1,418	\$1.29
Broadmead	2 BR, 2 BA	965 SF	\$1,420	\$1.47
Greenbriar Bend	2BR/2BA	1,015 SF	\$1,450	\$1.43
Meyer Oaks	2BR/2BA	1,050 SF	\$1,557	\$1.48
Compiled by CBRE				

The subject's quoted rental rates are within the range indicated by the rent comparables on a per month basis. Considering the available data, the quoted rental rates for the subject's two-bedroom units were adjusted downward for the 846 sf unit and adopted for the 885 sf in estimating the current market rental levels for these floorplans. This adjustment took into account the subject's current in-place rental rates.

Three-Bedroom Units

SUMMARY OF COMPARABLE RENTALS THREE BEDROOM UNITS				
Comparable	Plan Type	Size (SF)	Rental Rates	
			\$/Mo.	\$/SF
Subject (Concluded)	3 BR, 2 BA	1,059 SF	\$1,325	\$1.25
Subject (Avg. Quoted)	3 BR, 1.5 BA	1,089 SF	\$1,400	\$1.29
Subject (Concluded)	3 BR, 1.5 BA	1,089 SF	\$1,400	\$1.29
Meyer Oaks	3BR/2BA	1,170 SF	\$1,450	\$1.24
Subject (Avg. Quoted)	3 BR, 2 BA	1,059 SF	\$1,450	\$1.37
Meyer Oaks	3BR/2BA	1,400 SF	\$1,714	\$1.22
Meyer Oaks	3BR/2BA	1,420 SF	\$1,783	\$1.26
Compiled by CBRE				

The subject's quoted rental rates are within the range indicated by the rent comparables on a per month basis and per square foot basis. Considering the available data, the quoted rental rates for the subject's three-bedroom units were adjusted downward in estimating the current market rental levels for these floorplans. This adjustment took into account the subject's current in-place rental rates.

MARKET RENT CONCLUSIONS

The following chart shows the market rent conclusions for the subject:

RENT CONCLUSIONS									
No. Units	Unit Type	Unit Size (SF)	Total SF	Monthly Rent			Annual Rent		Annual Total
				\$/Unit	\$/SF	PRI	\$/Unit	\$/SF	
2	Efficiency	395	790	\$700	\$1.77	\$1,400	\$8,400	\$21.27	\$16,800
2	1 BR, 1 BA	637	1,274	\$1,075	\$1.69	\$2,150	\$12,900	\$20.25	\$25,800
5	2 BR, 1 BA	846	4,230	\$1,150	\$1.36	\$5,750	\$13,800	\$16.31	\$69,000
8	2 BR, 2 BA	885	7,080	\$1,325	\$1.50	\$10,600	\$15,900	\$17.97	\$127,200
3	3 BR, 2 BA	1,059	3,177	\$1,325	\$1.25	\$3,975	\$15,900	\$15.01	\$47,700
1	3 BR, 1.5 BA	1,089	1,089	\$1,400	\$1.29	\$1,400	\$16,800	\$15.43	\$16,800
21		840	17,640	\$1,204	\$1.43	\$25,275	\$14,443	\$17.19	\$303,300
Compiled by CBRE									

RENT ROLL ANALYSIS

The rent roll analysis serves as a crosscheck to the estimate of market rent for the subject. The collections shown on the rent roll include rent premiums and/or discounts.

RENT ROLL ANALYSIS		
Revenue Component	Total Monthly Rent	Total Annual Rent
20 Occupied Units at Contract Rates	\$21,725	\$260,700
1 Vacant Units at Market Rates	\$1,325	\$15,900
21 Total Units @ Contract Rent	\$23,050	\$276,600
21 Total Units @ Market Rent	\$25,275	\$303,300
<i>Indicated Variance</i>		8.8%
Compiled by CBRE		

The variation between the total annual rent reflected in the rent roll analysis and the market rent conclusion following renovations is due to the following:

- Loss to lease factors of older leases that do not reflect recent increases in rental rates
- Rent concessions, which are allocated as a separate line-item adjustment in the CBRE Analysis; and
- The increase rent performance of the subject as it was in lease-up for most of last year and there are 4 units left to be renovated.

POTENTIAL RENTAL INCOME CONCLUSION

Within this analysis, potential rental income is estimated based upon the forward-looking market rental rates over the next twelve months.

OPERATING HISTORY

The following table presents the limited available operating data for the subject.

OPERATING HISTORY				
Year-Occupancy	T-3 Jan. 22 Annualized 87.0%		Pro Forma 94.0%	
	Total	\$/Unit	Total	\$/Unit
INCOME				
Potential Rental Income	\$225,948	\$10,759	\$303,300	\$14,443
Loss to Lease	-	-	(4,550)	(217)
Concessions	-	-	(1,517)	(72)
Adjusted Rental Income	\$225,948	\$10,759	\$297,234	\$14,154
Vacancy	-	-	(17,834)	(849)
Credit Loss	-	-	(2,972)	(142)
Net Rental Income	\$225,948	\$10,759	\$276,428	\$13,163
Other Income	6,548	312	4,935	235
RUBS/Utility Income	-	-	-	-
Subtotal Other Income (Net)	\$6,548	\$312	4,935	\$235
Effective Gross Income	\$232,496	\$11,071	\$281,363	\$13,398
EXPENSE				
Real Estate Taxes	\$29,620	\$1,410	\$35,060	\$1,670
Property Insurance	18,000	857	20,160	960
Natural Gas	-	-	-	-
Electricity	8,296	395	8,295	395
Water & Sewer	10,444	497	12,075	575
Cable Television	-	-	-	-
Trash Removal	2,192	104	2,100	100
Administrative & General	2,708	129	2,625	125
Repairs & Maintenance	17,508	834	5,880	280
Painting & Decorating	2,476	118	4,200	200
Grounds (Landscaping)	2,480	118	945	45
Security	-	-	-	-
Management Fee	1,656	79	19,695	938
Administrative Payroll	-	-	-	-
Maintenance Payroll	-	-	-	-
Employee Taxes & Benefits	-	-	-	-
Employee Apartments	-	-	-	-
Advertising & Leasing	324	15	735	35
Replacement Reserves	5,250	250	5,250	250
Total Operating Expenses	\$100,954	\$4,807	\$117,020	\$5,572
Net Operating Income	\$131,542	\$6,264	\$164,343	\$7,826

Source: Operating statements

LOSS TO LEASE

Within the local market, buyers and sellers typically recognize a reduction in potential rental income due to the difference between market and contract rental rates. In this market, lease rates are typically increasing and are anticipated to roll to market every six to twelve months on average. As a result, actual collections will lag behind market rates at any point in time. The amount of the lag is attributed to two factors: one, the projected rent increases over the next twelve months and, two, to a lesser extent, renewal leases that are not typically raised up fully to market rates. Based upon the difference between market rent and contract rent at any given time, and considering renewals will not be increased fully to market rates, the loss to lease associated with the subject is estimated at 1.50% of gross rental income. This method of calculating rental income is most prevalent in the local market and is consistent with the method used to derive overall capitalization rates from the comparable sales data.

CONCESSIONS

The subject is not offering specials at this time. Concessions in the submarket have been declining over the past six months as economic conditions have improved and occupancies have increased. Concessions have historically been very prevalent in the Houston market and most managers and leasing consultants believe they are needed periodically as demand dictates for specific floor plans. The subject's stabilized concession amount is estimated at 0.50% of gross rental income and reflects the anticipated need to offer specials periodically to maintain stabilized occupancy trends.

CONCESSIONS		
Year	Total	\$/Unit/Yr
T-3 Jan. 22 Annualized	\$0	0.0%
CBRE Estimate	(\$1,517)	0.5%
Compiled by CBRE		

VACANCY

The subject's estimated stabilized occupancy rate was previously discussed in the market analysis. The subject's vacancy is detailed as follows:

VACANCY		
Year	Total	% of ARI
T-3 Jan. 22 Annualized	\$0	0.0%
CBRE Estimate	(\$17,834)	6.0%
Compiled by CBRE		

CBRE is concluding a stabilized occupancy level of 94.0% based on the market conditions and strong appeal of the subject property. Our estimate is supported by the rent comparables average occupancy of 95.0% and the subject's current occupancy of 95.2%.

CREDIT LOSS

The credit loss estimate is an allowance for nonpayment of rent or other income. The subject's credit loss is detailed as follows:

CREDIT LOSS		
Year	Total	
T-3 Jan. 22 Annualized	\$0	0.0%
CBRE Estimate	(\$2,972)	1.0%
Compiled by CBRE		

Credit loss is common in multifamily properties and is a necessary component in the analysis of year-to-year cash flows.

OTHER INCOME

Other income is supplemental to that derived from leasing of the improvements. This includes categories such as forfeited deposits, vending machines, pet rent, late charges, etc. The subject's income is detailed as follows:

OTHER INCOME		
Year	Total	\$/Unit/Yr
T-3 Jan. 22 Annualized	\$6,548	\$312
CBRE Estimate	\$4,935	\$235
Compiled by CBRE		

EFFECTIVE GROSS INCOME

The subject's effective gross income is detailed as follows:

EFFECTIVE GROSS INCOME		
Year	Total	\$/Unit/Yr
T-3 Jan. 22 Annualized	\$232,496	\$11,071
CBRE Estimate	\$281,363	\$13,398
Compiled by CBRE		

We have concluded \$13,398 per unit for the subject's effective gross income, which is 21.0% above the most recent T-3 indication from the subject property. The subject's owners still have several units to renovate and three months ago the subject had 3 vacant units as compared to only one currently. Additionally, the January 2022 collected income of \$21,423 is a 14.7% increase over the November collection of \$18,680.

OPERATING EXPENSE ANALYSIS

The following chart summarizes expenses obtained from comparable properties.

EXPENSE COMPARABLES									
Comparable Number	1		2		3		4		Subject
Location	Pasadena		Houston		Houston		Rosenberg		Houston, TX
Units	44		59		108		96		21
Year Built					108				1960
Type	Garden		Garden		Garden		Garden		Garden
Period	Feb 2021 T-12		July 2020 T-12		T-12 October 2020		T-12 June 2021		Pro Forma
Revenues	Total	\$/Unit	Total	\$/Unit	Total	\$/Unit	Total	\$/Unit	\$/Unit
Potential Rental Income	\$569,037	\$12,933	\$557,235	\$9,445	\$958,046	\$8,871	\$1,210,170	\$12,606	\$14,443
Loss to Lease	-	-	-	-	-	-	(54,704)	(570)	(217)
Concessions	-	-	-	-	-	-	(8,941)	(93)	(72)
Adjusted Rental Income	\$569,037	\$12,933	\$557,235	\$9,445	\$958,046	\$8,871	\$1,146,525	\$11,943	\$14,154
Vacancy	-	-	-	-	-	-	(53,191)	(554)	(849)
Credit Loss	-	-	-	-	-	-	(8,297)	(86)	(142)
Net Rental Income	\$569,037	\$12,933	\$557,235	\$9,445	\$958,046	\$8,871	\$1,085,037	\$11,302	\$13,163
Other Income	\$34,945	\$794	\$24,496	\$415	\$48,701	\$451	\$28,332	\$295	\$235
RUBS/Utility Income	\$27,927	\$635	\$64,388	\$1,091	\$124,744	\$1,155	\$55,872	\$582	\$0
Subtotal Other Income (Net)	62,872	1,429	88,884	1,507	173,445	1,606	84,204	877	235
Effective Gross Income	\$631,909	\$14,362	\$656,654	\$11,130	\$1,131,491	\$10,477	\$1,169,241	\$12,180	\$13,398
Expenses									
Real Estate Taxes	\$90,202	\$2,050	\$72,919	\$1,236	\$150,198	\$1,391	\$130,923	\$1,364	\$1,670
Property Insurance	43,215	982	31,737	538	58,506	542	46,282	482	960
Natural Gas	-	-	8,558	145	10,907	101	-	-	-
Electricity	1,901	43	44,234	750	25,779	239	7,270	76	395
Water & Sewer	36,564	831	51,996	881	94,043	871	53,022	552	575
Cable Television	1,352	31	-	-	-	-	-	-	-
Trash Removal	7,875	179	2,688	46	9,630	89	11,741	122	100
Administrative & General	3,614	82	13,991	237	27,872	258	29,755	310	125
Repairs & Maintenance	31,388	713	13,009	220	24,024	222	12,828	134	280
Painting & Decorating	-	-	10,706	181	17,431	161	3,263	34	200
Grounds (Landscaping)	7,049	160	3,927	67	14,779	137	15,239	159	45
Security	50	1	-	-	-	-	1,335	14	-
Management Fee	24,534	558	31,858	540	39,638	367	41,225	429	938
Administrative Payroll	36,054	819	51,636	875	42,104	390	62,623	652	-
Maintenance Payroll	21,027	478	-	-	43,998	407	50,370	525	-
Employee Taxes & Benefits	8,039	183	-	-	26,022	241	17,539	183	-
Employee Apartments	-	-	-	-	-	-	-	-	-
Advertising & Leasing	5,500	125	1,514	26	8,306	77	26,995	281	35
Replacement Reserves	11,000	250	14,750	250	27,000	250	24,000	250	250
Total Operating Expenses	\$329,364	\$7,486	\$353,523	\$5,992	\$620,237	\$5,743	\$534,410	\$5,567	\$5,572
Operating Expenses Excluding Taxes	239,162	5,436	280,604	4,756	470,039	4,352	403,487	4,203	3,903
Operating Expense Ratio		52.1%		53.8%		54.8%		45.7%	41.6%
Management Fee % of EGI		3.9%		4.9%		3.5%		3.5%	7.0%
* The median total differs from the sum of the individual amounts.									
Compiled by CBRE									

We have concluded to expense levels that are generally in-line with recent historical levels, as supported by expenses comparables. The comparable data and projections for the subject are summarized as follows:

TOTAL OPERATING EXPENSES		
Year	Total	\$/Unit/Yr
T-3 Jan. 22 Annualized	\$100,954	\$4,807
Expense Comparable 1	---	\$7,486
Expense Comparable 2	---	\$5,992
Expense Comparable 3	---	\$5,743
Expense Comparable 4	---	\$5,567
CBRE Estimate	\$117,020	\$5,572
Compiled by CBRE		

We have concluded \$5,572 per unit for the subject's total operating expenses, which is within the range of the expense comparables. This is an increase over the limited T-2 figures on an annualized bases primarily due to our increased real estate taxes.

NET OPERATING INCOME CONCLUSION

The comparable data and projections for the subject are summarized as follows:

NET OPERATING INCOME		
Year	Total	\$/Unit/Yr
T-3 Jan. 22 Annualized	\$131,542	\$6,264
CBRE Estimate	\$164,343	\$7,826
Compiled by CBRE		

The CBRE estimate is based on a line-by-line analysis of each revenue and expense category for the subject and all are market supported.

DIRECT CAPITALIZATION

Direct capitalization is a method used to convert a single year's estimated stabilized net operating income into a value indication.

Comparable Sales

The overall capitalization rates (OARs) confirmed for the comparable sales analyzed in the sales comparison approach are as follows:

COMPARABLE CAPITALIZATION RATES						
Sale	Sale Date	Sale Price \$/Unit	Occupancy	Buyer's Primary Analysis	Operating Expense Ratio	OAR
1	Jul-19	\$145,364	88%	Pro Forma (Stabilized)	45.88	5.47%
2	Jul-19	\$141,500	100%	Pro Forma (Stabilized)	51.11	5.17%
3	Jan-20	\$142,667	97%	Pro Forma (Stabilized)	48.97	5.47%
4	Apr-21	\$150,000	93%	Pro Forma (Stabilized)	56.51	4.50%
5	Jul-21	\$155,720	98%	Pro Forma (Stabilized)	50.99	4.50%
Indicated OAR:			93%			4.50%-5.47%
Compiled by CBRE						

Market Participants

The results of recent interviews with knowledgeable real estate professionals are summarized in the following table.

OVERALL CAPITALIZATION RATES			
Property Type	Location	OAR	Date of Survey
Class A Urban	Houston	3.25% - 3.75%	Mar-22
Class A Suburban	Houston	4.00% - 4.50%	Mar-22
Class B	Houston	4.50% - 5.00%	Mar-22
Class C	Houston	5.00% - 5.75%	Mar-22
Indicated OAR:			4.75% to 5.25%
Compiled by CBRE			

The OAR's of the brokerage division are based on in-place 90-days annualized income and pro forma expenses. Since the appraisal is based on pro forma income and expense projections, slight upward adjustments of 25 to 50 basis points to the quoted rates are necessary.

Published Investor Surveys

The results of the most recent investor surveys are summarized in the following chart.

OVERALL CAPITALIZATION RATES		
Investment Type	OAR Range	Average
<i>CBRE Apartments</i>		
Class A	4.52% - 5.34%	4.77%
Class B	4.81% - 5.85%	5.14%
Class C	5.36% - 7.10%	5.82%
<i>RealtyRates.com</i>		
Apartments	4.03% - 11.92%	7.94%
Garden/Suburban TH	4.03% - 10.72%	7.19%
Hi-Rise/Urban TH	4.97% - 11.92%	8.17%
<i>PwC Apartment</i>		
National Data	3.00% - 7.00%	4.42%
Indicated OAR:		4.75% to 5.25%
Compiled by CBRE		

Band of Investment

BAND OF INVESTMENT				
Mortgage Interest Rate	3.85%			
Mortgage Term (Amortization Period)	30 Years			
Mortgage Ratio (Loan-to-Value)	65%			
Mortgage Constant (monthly payments)	0.05626			
Equity Dividend Rate (EDR)	5.50%			
Mortgage Requirement	65%	x	0.05626	= 0.03657
Equity Requirement	35%	x	0.05500	= 0.01925
	100%			0.05582
Indicated OAR:				5.60%
Compiled by CBRE				

Debt Coverage Ratio

The debt coverage ratio (DCR) is the ratio of net operating income to annual debt service and measures the ability of a given property to meet its debt service out of net operating income. Utilizing data obtained from knowledgeable mortgage finance professionals, the subject's projected NOI can be tested for reasonableness against the market's typical loan parameters to determine whether or not the DCR is positive. This analysis is shown in the following table.

DEBT COVERAGE RATIO ANALYSIS	
Estimated As Is Value	\$3,300,000
Mortgage Ratio (Loan-to-Value)	65%
Estimated Mortgage Loan Amount	\$2,145,000
Mortgage Interest Rate	3.50%
Mortgage Term (Amortization Period)	30 Years
Mortgage Constant (monthly payments)	0.05389
Annual Debt Service (monthly payments)	\$115,584
Estimated NOI	\$164,343
Estimated Debt Coverage Ratio (DCR)	1.42
Market Debt DCR	1.35
Positive DCR? (Y or N)	Yes
Compiled by CBRE	

Capitalization Rate Conclusion

The following chart summarizes the OAR conclusions.

OVERALL CAPITALIZATION RATE - CONCLUSION	
Source	Indicated OAR
Comparable Sales	4.50%-5.47%
Published Surveys	4.75% to 5.25%
Market Participants	4.75% to 5.25%
Band of Investment	5.40%
CBRE Estimate	5.00%
Compiled by CBRE	

In concluding an overall capitalization rate for the subject, primary reliance has been placed upon Comparable Sales with additional motivations noted for positive and negative influences as they pertain to the subject property.

Direct Capitalization Summary

A summary of the direct capitalization is illustrated in the following chart.

DIRECT CAPITALIZATION SUMMARY			
Income		\$/Unit/Yr	Total
Potential Rental Income		\$14,443	\$303,300
Loss to Lease	1.50%	(217)	(4,550)
Concessions	0.50%	(72)	(1,517)
Adjusted Rental Income		\$14,154	\$297,234
Vacancy	6.00%	(849)	(17,834)
Credit Loss	1.00%	(142)	(2,972)
Net Rental Income		\$13,163	\$276,428
Other Income		235	4,935
RUBS/Utility Income		0	-
Subtotal Other Income (Net)		\$235	\$4,935
Effective Gross Income		\$13,398	\$281,363
Expenses			
Real Estate Taxes		\$1,670	\$35,060
Property Insurance		960	20,160
Natural Gas		0	-
Electricity		395	8,295
Water & Sewer		575	12,075
Cable Television		0	-
Trash Removal		100	2,100
Administrative & General		125	2,625
Repairs & Maintenance		280	5,880
Painting & Decorating		200	4,200
Grounds (Landscaping)		45	945
Security		0	-
Management Fee	7.00%	938	19,695
Administrative Payroll		0	-
Maintenance Payroll		0	-
Employee Taxes & Benefits		0	-
Employee Apartments		0	-
Advertising & Leasing		35	735
Replacement Reserves		250	5,250
Total Operating Expenses		\$5,572	\$117,020
Operating Expenses Excluding Taxes		\$3,903	\$81,960
Operating Expense Ratio			41.59%
Net Operating Income		\$7,826	\$164,343
OAR		÷	5.00%
Indicated Value As Is	March 8, 2022		\$3,286,850
Rounded			\$3,300,000
Value Per Unit			\$157,143
Matrix Analysis		Cap Rate	Value
		4.75%	\$3,450,000
		5.00%	\$3,300,000
		5.25%	\$3,150,000
Compiled by CBRE			

Reconciliation of Value

The value indications from the approaches to value are summarized as follows:

SUMMARY OF VALUE CONCLUSIONS				
Appraisal Premise	As of Date	Sales Comparison Approach	Income Approach	Reconciled Value
As Is	March 8, 2022	\$3,200,000	\$3,300,000	\$3,300,000
Compiled by CBRE				

As discussed in the valuation methodology, the sales comparison and income capitalization approaches have been developed. For the final reconciled value(s), the Income Capitalization Approach is considered most reliable and has been given primary emphasis, with secondary emphasis placed on the Sales Comparison Approach. This is consistent with the actions of buyers and sellers active in this market. Overall, the value conclusion(s) are well-supported by the data and analysis presented herein.

Based on the foregoing, the market value of the subject has been concluded as follows:

MARKET VALUE CONCLUSION			
Appraisal Premise	Interest Appraised	Date of Value	Value Conclusion
As Is	Leased Fee Interest	March 8, 2022	\$3,300,000
Compiled by CBRE			

ADDENDA

Addendum A

CERTIFICATION

CERTIFICATION

We certify to the best of our knowledge and belief:

1. The statements of fact contained in this report are true and correct.
2. The reported analyses, opinions, and conclusions are limited only by the reported assumptions and limiting conditions and are our personal, impartial, and unbiased professional analyses, opinions, and conclusions.
3. We have no present or prospective interest in or bias with respect to the property that is the subject of this report and have no personal interest in or bias with respect to the parties involved with this assignment.
4. Our engagement in this assignment was not contingent upon developing or reporting predetermined results.
5. Our compensation for completing this assignment is not contingent upon the development or reporting of a predetermined value or direction in value that favors the cause of the client, the amount of the value opinion, the attainment of a stipulated result, or the occurrence of a subsequent event directly related to the intended use of this appraisal.
6. Our analyses, opinions, and conclusions were developed, and this report has been prepared, in conformity with the Uniform Standards of Professional Appraisal Practice, as well as the requirements of the State of Texas.
7. The reported analyses, opinions, and conclusions were developed, and this report has been prepared, in conformity with the requirements of the Code of Professional Ethics and Standards of Professional Appraisal Practice of the Appraisal Institute.
8. The use of this report is subject to the requirements of the Appraisal Institute relating to review by its duly authorized representatives.
9. As of the date of this report, Thomas Deal, MAI has completed the continuing education program for Designated Members of the Appraisal Institute.
10. Thomas Deal has made a personal inspection of the property that is the subject of this report.
11. No one has provided significant real property appraisal assistance to the person signing this report.
12. Valuation & Advisory Services operates as an independent economic entity within CBRE, Inc. Although employees of other CBRE, Inc. divisions may be contacted as a part of our routine market research investigations, absolute client confidentiality and privacy were maintained at all times with regard to this assignment without conflict of interest.
13. Tom Deal, MAI has not provided services, as an appraiser or in any other capacity, regarding the property that is the subject of this report within the three-year period immediately preceding agreement to perform this assignment.



Thomas Deal, MAI
First Vice President
Texas Certification No. 1321144-G
Phone: 713-840-6627
Email: thomas.deal@cbre.com

Addendum B

ASSUMPTIONS AND LIMITING CONDITIONS

ASSUMPTIONS AND LIMITING CONDITIONS

1. CBRE, Inc. through its appraiser (collectively, "CBRE") has inspected through reasonable observation the subject property. However, it is not possible or reasonably practicable to personally inspect conditions beneath the soil and the entire interior and exterior of the improvements on the subject property. Therefore, no representation is made as to such matters.
2. The report, including its conclusions and any portion of such report (the "Report"), is as of the date set forth in the letter of transmittal and based upon the information, market, economic, and property conditions and projected levels of operation existing as of such date. The dollar amount of any conclusion as to value in the Report is based upon the purchasing power of the U.S. Dollar on such date. The Report is subject to change as a result of fluctuations in any of the foregoing. CBRE has no obligation to revise the Report to reflect any such fluctuations or other events or conditions which occur subsequent to such date.
3. Unless otherwise expressly noted in the Report, CBRE has assumed that:
 - (i) Title to the subject property is clear and marketable and that there are no recorded or unrecorded matters or exceptions to title that would adversely affect marketability or value. CBRE has not examined title records (including without limitation liens, encumbrances, easements, deed restrictions, and other conditions that may affect the title or use of the subject property) and makes no representations regarding title or its limitations on the use of the subject property. Insurance against financial loss that may arise out of defects in title should be sought from a qualified title insurance company.
 - (ii) Existing improvements on the subject property conform to applicable local, state, and federal building codes and ordinances, are structurally sound and seismically safe, and have been built and repaired in a workmanlike manner according to standard practices; all building systems (mechanical/electrical, HVAC, elevator, plumbing, etc.) are in good working order with no major deferred maintenance or repair required; and the roof and exterior are in good condition and free from intrusion by the elements. CBRE has not retained independent structural, mechanical, electrical, or civil engineers in connection with this appraisal and, therefore, makes no representations relative to the condition of improvements. CBRE appraisers are not engineers and are not qualified to judge matters of an engineering nature, and furthermore structural problems or building system problems may not be visible. It is expressly assumed that any purchaser would, as a precondition to closing a sale, obtain a satisfactory engineering report relative to the structural integrity of the property and the integrity of building systems.
 - (iii) Any proposed improvements, on or off-site, as well as any alterations or repairs considered will be completed in a workmanlike manner according to standard practices.
 - (iv) Hazardous materials are not present on the subject property. CBRE is not qualified to detect such substances. The presence of substances such as asbestos, urea formaldehyde foam insulation, contaminated groundwater, mold, or other potentially hazardous materials may affect the value of the property.
 - (v) No mineral deposit or subsurface rights of value exist with respect to the subject property, whether gas, liquid, or solid, and no air or development rights of value may be transferred. CBRE has not considered any rights associated with extraction or exploration of any resources, unless otherwise expressly noted in the Report.
 - (vi) There are no contemplated public initiatives, governmental development controls, rent controls, or changes in the present zoning ordinances or regulations governing use, density, or shape that would significantly affect the value of the subject property.
 - (vii) All required licenses, certificates of occupancy, consents, or other legislative or administrative authority from any local, state, nor national government or private entity or organization have been or can be readily obtained or renewed for any use on which the Report is based.
 - (viii) The subject property is managed and operated in a prudent and competent manner, neither inefficiently or super-efficiently.
 - (ix) The subject property and its use, management, and operation are in full compliance with all applicable federal, state, and local regulations, laws, and restrictions, including without limitation environmental laws, seismic hazards, flight patterns, decibel levels/noise envelopes, fire hazards, hillside ordinances, density, allowable uses, building codes, permits, and licenses.
 - (x) The subject property is in full compliance with the Americans with Disabilities Act (ADA). CBRE is not qualified to assess the subject property's compliance with the ADA, notwithstanding any discussion of possible readily achievable barrier removal construction items in the Report.

- (xi) All information regarding the areas and dimensions of the subject property furnished to CBRE are correct, and no encroachments exist. CBRE has neither undertaken any survey of the boundaries of the subject property nor reviewed or confirmed the accuracy of any legal description of the subject property.

Unless otherwise expressly noted in the Report, no issues regarding the foregoing were brought to CBRE's attention, and CBRE has no knowledge of any such facts affecting the subject property. If any information inconsistent with any of the foregoing assumptions is discovered, such information could have a substantial negative impact on the Report. Accordingly, if any such information is subsequently made known to CBRE, CBRE reserves the right to amend the Report, which may include the conclusions of the Report. CBRE assumes no responsibility for any conditions regarding the foregoing, or for any expertise or knowledge required to discover them. Any user of the Report is urged to retain an expert in the applicable field(s) for information regarding such conditions.

4. CBRE has assumed that all documents, data and information furnished by or behalf of the client, property owner, or owner's representative are accurate and correct, unless otherwise expressly noted in the Report. Such data and information include, without limitation, numerical street addresses, lot and block numbers, Assessor's Parcel Numbers, land dimensions, square footage area of the land, dimensions of the improvements, gross building areas, net rentable areas, usable areas, unit count, room count, rent schedules, income data, historical operating expenses, budgets, and related data. Any error in any of the above could have a substantial impact on the Report. Accordingly, if any such errors are subsequently made known to CBRE, CBRE reserves the right to amend the Report, which may include the conclusions of the Report. The client and intended user should carefully review all assumptions, data, relevant calculations, and conclusions of the Report and should immediately notify CBRE of any questions or errors within 30 days after the date of delivery of the Report.
5. CBRE assumes no responsibility (including any obligation to procure the same) for any documents, data or information not provided to CBRE, including without limitation any termite inspection, survey or occupancy permit.
6. All furnishings, equipment and business operations have been disregarded with only real property being considered in the Report, except as otherwise expressly stated and typically considered part of real property.
7. Any cash flows included in the analysis are forecasts of estimated future operating characteristics based upon the information and assumptions contained within the Report. Any projections of income, expenses and economic conditions utilized in the Report, including such cash flows, should be considered as only estimates of the expectations of future income and expenses as of the date of the Report and not predictions of the future. Actual results are affected by a number of factors outside the control of CBRE, including without limitation fluctuating economic, market, and property conditions. Actual results may ultimately differ from these projections, and CBRE does not warrant any such projections.
8. The Report contains professional opinions and is expressly not intended to serve as any warranty, assurance or guarantee of any particular value of the subject property. Other appraisers may reach different conclusions as to the value of the subject property. Furthermore, market value is highly related to exposure time, promotion effort, terms, motivation, and conclusions surrounding the offering of the subject property. The Report is for the sole purpose of providing the intended user with CBRE's independent professional opinion of the value of the subject property as of the date of the Report. Accordingly, CBRE shall not be liable for any losses that arise from any investment or lending decisions based upon the Report that the client, intended user, or any buyer, seller, investor, or lending institution may undertake related to the subject property, and CBRE has not been compensated to assume any of these risks. Nothing contained in the Report shall be construed as any direct or indirect recommendation of CBRE to buy, sell, hold, or finance the subject property.
9. No opinion is expressed on matters which may require legal expertise or specialized investigation or knowledge beyond that customarily employed by real estate appraisers. Any user of the Report is advised to retain experts in areas that fall outside the scope of the real estate appraisal profession for such matters.
10. CBRE assumes no responsibility for any costs or consequences arising due to the need, or the lack of need, for flood hazard insurance. An agent for the Federal Flood Insurance Program should be contacted to determine the actual need for Flood Hazard Insurance.
11. Acceptance or use of the Report constitutes full acceptance of these Assumptions and Limiting Conditions and any special assumptions set forth in the Report. It is the responsibility of the user of the Report to read in full, comprehend and thus become aware of all such assumptions and limiting conditions. CBRE assumes no responsibility for any situation arising out of the user's failure to become familiar with and understand the same.
12. The Report applies to the property as a whole only, and any pro ration or division of the title into fractional interests will invalidate such conclusions, unless the Report expressly assumes such pro ration or division of interests.

13. The allocations of the total value estimate in the Report between land and improvements apply only to the existing use of the subject property. The allocations of values for each of the land and improvements are not intended to be used with any other property or appraisal and are not valid for any such use.
14. The maps, plats, sketches, graphs, photographs, and exhibits included in this Report are for illustration purposes only and shall be utilized only to assist in visualizing matters discussed in the Report. No such items shall be removed, reproduced, or used apart from the Report.
15. The Report shall not be duplicated or provided to any unintended users in whole or in part without the written consent of CBRE, which consent CBRE may withhold in its sole discretion. Exempt from this restriction is duplication for the internal use of the intended user and its attorneys, accountants, or advisors for the sole benefit of the intended user. Also exempt from this restriction is transmission of the Report pursuant to any requirement of any court, governmental authority, or regulatory agency having jurisdiction over the intended user, provided that the Report and its contents shall not be published, in whole or in part, in any public document without the written consent of CBRE, which consent CBRE may withhold in its sole discretion. Finally, the Report shall not be made available to the public or otherwise used in any offering of the property or any security, as defined by applicable law. Any unintended user who may possess the Report is advised that it shall not rely upon the Report or its conclusions and that it should rely on its own appraisers, advisors, and other consultants for any decision in connection with the subject property. CBRE shall have no liability or responsibility to any such unintended user.

Addendum C

ADDITIONAL SUBJECT PICTURES



Subject Exterior



Subject Exterior



Subject's Laundry Room



Subject Exterior



Subject Exterior



Parking



View of Typical Kitchen



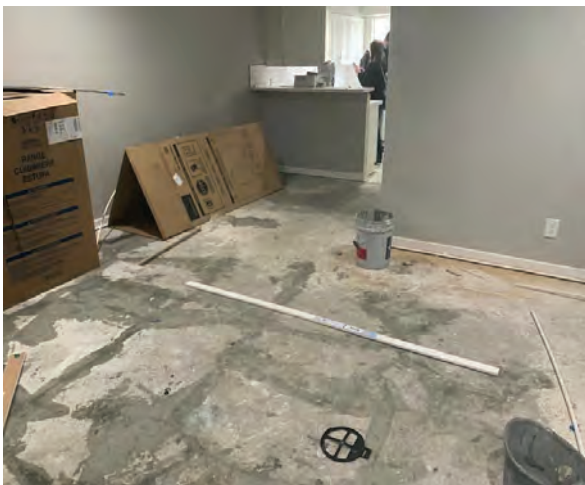
View of Typical Kitchen



View of Typical Living Room



View of Typical Bedroom



View of Unit Being Renovated



View of Typical Bathroom



View of Water Heaters



View of Electrical Meters



View of Roof Mounted HVACs



View of Subject



View of Subject



View of Townhomes Across from Subject

Addendum D

EXPOSURE/MARKETING TIME

EXPOSURE/MARKETING TIME

Current appraisal guidelines require an estimate of a reasonable time period in which the subject could be brought to market and sold. This reasonable time frame can either be examined historically or prospectively. In a historical analysis, this is referred to as exposure time. Exposure time always precedes the date of value, with the underlying premise being the time a property would have been on the market prior to the date of value, such that it would sell at its appraised value as of the date of value. On a prospective basis, the term marketing time is most often used. The exposure/marketing time is a function of price, time, and use. It is not an isolated estimate of time alone. In consideration of these factors, we have analyzed the following:

- exposure periods for comparable sales used in this appraisal;
- exposure/marketing time information from the CBRE, Inc. National Investor Survey and the PwC Real Estate Investor Survey; and
- the opinions of market participants.

The following table presents the information derived from these sources.

EXPOSURE/MARKETING TIME DATA				
Investment Type	Exposure/Mktg. (Months)			
	Range			Average
Comparable Sales Data	1.0	-	5.0	2.3
Local Market Professionals	1.0	-	3.0	2.0
CBRE Exposure Time Estimate	1 - 2 Months			
CBRE Marketing Period Estimate	2 - 3 Months			
Various Sources Compiled by CBRE				

Addendum E

FREDDIE MAC INSPECTION DETAILS

FREDDIE MAC INSPECTION DETAILS

Per FHLMC guidelines, the appraiser must inspect:

- A minimum of five units
- All vacant units to determine their state of readiness for occupancy
- All down units to determine and comment on the amount of repairs/renovations necessary to make them ready for occupancy
- At least one unit of each unit type and comment on the marketability of each unit type's floor plan, design, layout, amenities, and level of finish

If this requirement results in more than 25 units to be inspected, the appraiser may sample the vacant units, but all down units must still be inspected regardless of the number of down units. The appraiser must clearly state how this sample was selected.

The units inspected are shown below:

UNITS INSPECTED		
Unit No.	Plan Type	Status
1	1BR/1BA	Occupied
14	3BR/2BA	Occupied
17	1BR/1BA	Occupied
18	2BR/2BA	Occupied
10	3BR/2BA	Vacant
Compiled by CBRE		

Addendum F

SCOPE OF WORK AND DATA SOURCES

SCOPE OF WORK AND DATA RESOURCES

This Appraisal Report is intended to comply with the reporting requirements set forth under Standards Rule 2 of USPAP and the Financial Institutions Reform, Recovery, and Enforcement Act of 1989 (FIRREA), including its Title XI regulations. The scope of the assignment relates to the extent and manner in which research is conducted, data is gathered, and analysis is applied. CBRE, Inc. completed the following steps for this assignment.

Extent to Which the Property is Identified

The property is identified through the following sources:

- postal address
- assessor's records
- legal description

Extent to Which the Property is Inspected

Inspections details have been provided in the Addenda.

Type and Extent of the Data Researched

CBRE reviewed the following:

- applicable tax data
- zoning requirements
- flood zone status
- demographics
- income and expense data
- comparable data

Type and Extent of Analysis Applied

CBRE, Inc. analyzed the data gathered through the use of appropriate and accepted appraisal methodology to arrive at a probable value indication via each applicable approach to value. The steps required to complete each approach are discussed in the methodology section.

Data Sources

DATA SOURCES	
Item:	Source(s):
Site Data	
Size	Harris County Tax Records
Improved Data	
Building Area	Harris County Tax Records
No. Bldgs.	Site Map
Parking Spaces	Site Survey
Year Built/Developed	Harris County Tax Records
Economic Data	
Income Data:	Operating Statements provided by Derick Fasulo with CBRE Captial Markets
Expense Data:	Operating Statements provided by Derick Fasulo with CBRE Captial Markets
Data Not Provided	
PCA Report, Title Policy	
Compiled by CBRE	

Addendum G

APPRAISAL METHODOLOGY

APPRAISAL METHODOLOGY

In appraisal practice, an approach to value is included or omitted based on its applicability to the property type being valued and the quality and quantity of information available.

Cost Approach

The cost approach is based on the proposition that the informed purchaser would pay no more for the subject than the cost to produce a substitute property with equivalent utility. This approach is particularly applicable when the property being appraised involves relatively new improvements that represent the highest and best use of the land, or when it is improved with relatively unique or specialized improvements for which there exist few sales or leases of comparable properties.

Sales Comparison Approach

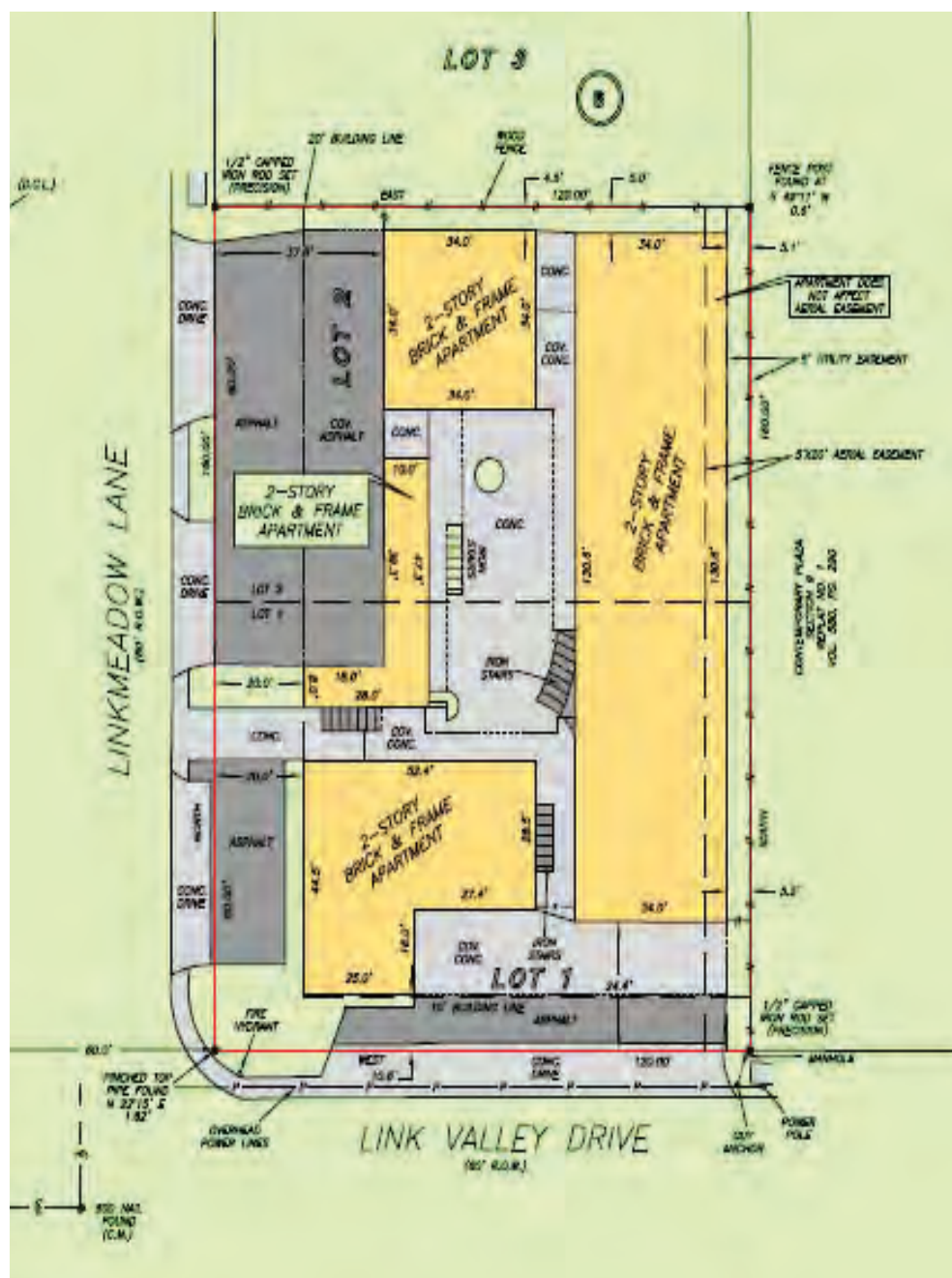
The sales comparison approach utilizes sales of comparable properties, adjusted for differences, to indicate a value for the subject. Valuation is typically accomplished using physical units of comparison such as price per square foot, price per unit, price per floor, etc., or economic units of comparison such as gross rent multiplier. Adjustments are applied to the physical units of comparison derived from the comparable sale. The unit of comparison chosen for the subject is then used to yield a total value. Economic units of comparison are not adjusted, but rather analyzed as to relevant differences, with the final estimate derived based on the general comparisons.

Income Capitalization Approach

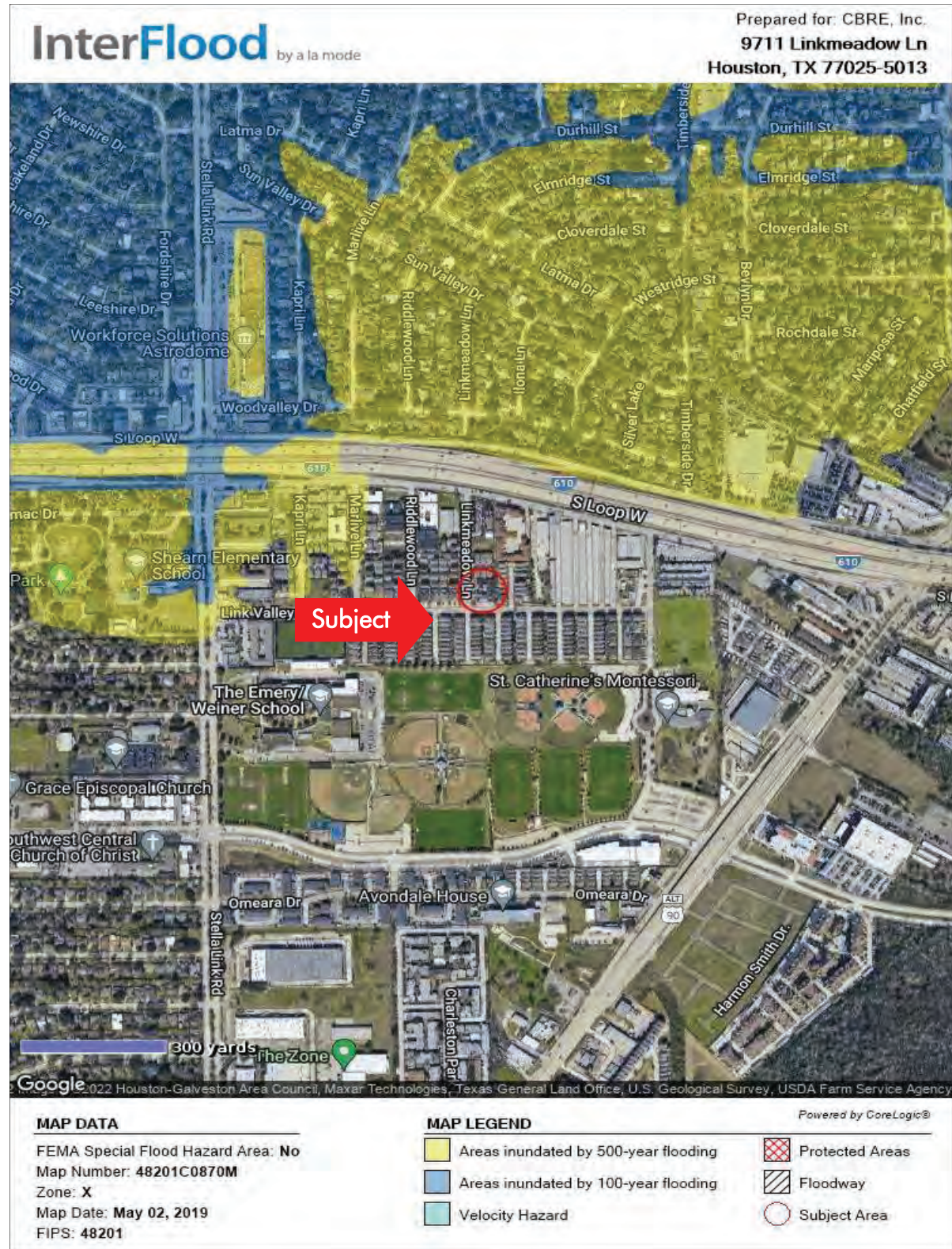
The income capitalization approach reflects the subject's income-producing capabilities. This approach is based on the assumption that value is created by the expectation of benefits to be derived in the future. Specifically estimated is the amount an investor would be willing to pay to receive an income stream plus reversion value from a property over a period of time. The two common valuation techniques associated with the income capitalization approach are direct capitalization and the discounted cash flow (DCF) analysis.

Addendum H

SITE MAPS



FLOOD PLAIN MAP



Addendum I

INSURABLE REPLACEMENT COST

Insurable Replacement Cost is defined as follows:

1. the value of an asset or asset group that is covered by an insurance policy; can be estimated by deducting costs of noninsurable items (e.g., land value) from market value.
2. The estimated cost, at current prices as of the effective date of valuation, of a substitute for the building being valued, using modern materials and current standards, design, and layout for insurance coverage purposes guaranteeing that damaged property is replaced with new property (i.e., depreciation is not deducted). ⁵

CBRE, Inc. has followed traditional appraisal standards to develop a reasonable calculation based upon industry practices and industry-accepted publications such as the Marshall Valuation Service. The methodology employed is a derivation of the cost approach and is not reliable for Insurable Replacement Cost estimates. Actual construction costs and related estimates can vary greatly from this estimate.

The Insurable Replacement Cost estimate presented herein is intended to reflect the value of the destructible portions of the subject, based on the replacement of physical items that are subject to loss from hazards (excluding indestructible items such as basement excavation, foundation, site work, land value and indirect costs). In the case of the subject, this estimate is based upon the base building costs (direct costs) as obtained via the Marshall Valuation Service cost guide, with appropriate deductions.

This analysis should not be relied upon to determine proper insurance coverage as only consultants considered experts in cost estimation and insurance underwriting are qualified to provide an Insurable Replacement Cost. It is provided to aid the client/reader/user as part of their overall decision-making process and no representations or warranties are made by CBRE, Inc. regarding the accuracy of this estimate. It is strongly recommended that other sources be utilized to develop any estimate of Insurable Replacement Cost.

⁵ Appraisal Institute, *The Dictionary of Real Estate Appraisal*, 6th ed. (Chicago: Appraisal Institute, 2015), 119.

INSURABLE REPLACEMENT COST

Primary Building Type:	Multifamily	Height per Story:	8'
Effective Age:	35 YRS	Number of Buildings:	1
Condition:	Good	Gross Building Area:	19,247 SF
Exterior Wall:	Brick	Net Rentable Area:	17,640 SF
Number of Stories:	2	Average Floor Area:	9,624 SF

MVS Sec/Page	12/16
Quality/Bldg. Class	Average/D
Building Component	Apartments
Component Sq. Ft.	19,247 SF
Base Square Foot Cost	\$81.00

Square Foot Refinements

Appliances at \$2,500/Unit	\$2.73
Subtotal	<u>\$83.73</u>

Height and Size Refinements

Number of Stories Multiplier	1.000
Height per Story Multiplier	1.000
Floor Area Multiplier	0.969
Subtotal	<u>\$81.13</u>

Cost Multipliers

Current Cost Multiplier	1.20
Local Multiplier	0.88

Final Square Foot Cost	<u>\$85.68</u>
-------------------------------	-----------------------

Base Component Cost	\$1,648,997
----------------------------	--------------------

Base Building Cost	(via Marshall Valuation Service cost data)	\$1,648,997
---------------------------	--	-------------

Insurable Exclusions	20.0% of Total Building Cost	<u>(\$329,799)</u>
-----------------------------	------------------------------	--------------------

Indicated Insurable Replacement Cost	\$1,319,198
---	--------------------

Rounded	\$1,300,000
----------------	--------------------

Value Per SF	\$73.70
---------------------	----------------

Compiled by CBRE

Addendum J

IMPROVED SALE DATA SHEETS

Sale**Residential - Multi-unit Garden****No. 1**

Property Name 4115 Drake Street Apartments
 Address 4115 Drake Street
 Houston, TX 77005
 United States

Government Tax Agency Harris
 Govt./Tax ID 055-291-000-0004

Unit Mix Detail

Rate Timeframe	Monthly				
Unit Type	No.	%	Size (sf)	Rent	Rent / sf
1 BR, 1 BA	6	38%	570	\$1,150	\$2.02
1 BR, 1 BA	6	38%	603	\$1,250	\$2.07
2 BR, 1 BA	4	25%	792	\$1,450	\$1.83
Totals/Avg	16			\$1,263	\$1.98

**Improvements**

Land Area	0.344 ac	Status	Existing
Net Rentable Area (NRA)	10,206 sf	Year Built	1962
Total # of Units	16 Unit	Year Renovated	2016
Average Unit Size	638 sf	Condition	Average
Floor Count	2	Exterior Finish	Brick Veneer
Property Features	Carports, Flat Roofs, Individual Split Systems, Surface Parking		
Project Amenities	Pool		
Unit Amenities	8-Foot Ceilings, Dishwasher, Garbage Disposal, Hardwood Flooring, Laminate Countertops, Microwave Oven, Range / Oven, Refrigerator, Tub / Shower Combo, White / Beige Appliances		

Sale Summary

Recorded Buyer	A Shelter for Cancer Families	Marketing Time	2 Month(s)
True Buyer	Alfonso C. Casasola and Maria Luisa Casasola	Buyer Type	Private Investor
Recorded Seller	SF Drake & Park LLC	Seller Type	Private Investor
True Seller	SF Drake & Park LLC	Primary Verification	Purchase sale agreement
Interest Transferred	Fee Simple/Freehold	Type	Sale
Current Use	Apartment	Date	7/22/2019
Proposed Use	N/A	Sale Price	\$2,325,820
Listing Broker	KET Enterprises-Mark Kalil	Financing	Market Rate Financing
Selling Broker	N/A	Cash Equivalent	\$2,325,820
Doc #	RP-2019-313600	Capital Adjustment	\$0
		Adjusted Price	\$2,325,820

Transaction Summary plus Five-Year CBRE View History

Transaction Date	Transaction Type	Buyer	Seller	Price	Cash Equivalent Price/unit and /sf
07/2019	Sale	A Shelter for Cancer Families	SF Drake & Park LLC	\$2,325,820	\$145,364 / \$227.89

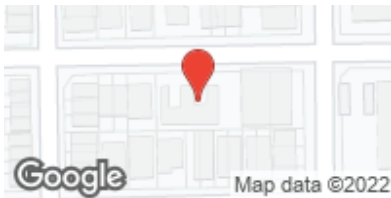
Units of Comparison

Static Analysis Method	Pro Forma (Stabilized)	Eff Gross Inc Mult (EGIM)	9.89
Buyer's Primary Analysis	Static Capitalization Analysis	Op Exp Ratio (OER)	45.88%
Net Initial Yield/Cap. Rate	5.47%	Adjusted Price / sf	\$227.89
Projected IRR	N/A	Adjusted Price / Unit	\$145,364
Actual Occupancy at Sale	88%		

Financial

Revenue Type	Pro Forma Stabilized
Period Ending	1/23/2019
Source	Appraiser
Price	\$2,325,820
Potential Gross Income	\$242,400
Economic Occupancy	97%
Economic Loss	\$7,272
Effective Gross Income	\$235,128
Expenses	\$107,871
Net Operating Income	\$127,257
NOI / sf	\$12.47
NOI / Unit	\$7,954
EGIM	9.89
OER	45.88%
Net Initial Yield/Cap. Rate	5.47%

Map & Comments



This is a 16-unit property located in the highland village/ upper Kirby/ West U submarket on Drake Street. It was placed under contract for sale for \$2,325,820. The property contains a pool, carports and a common area laundry facility. CBRE appraised this property for the transaction.

Sale**Residential - Multi-unit Garden****No. 2**

Property Name 2300 Park Street
 Address 2300 Park Street
 Houston, TX 77019
 United States

Government Tax Agency Harris
 Govt./Tax ID 0180580000001

Unit Mix Detail

Rate Timeframe	Monthly				
Unit Type	No.	%	Size (sf)	Rent	Rent / sf
1BR/1BA	8	40%	518	\$1,125	\$2.17
1BR/1BA	4	20%	606	\$1,175	\$1.94
2BR/1BA	8	40%	746	\$1,325	\$1.78
Totals/Avg	20			\$1,215	\$1.94

**Improvements**

Land Area	0.365 ac	Status	Existing
Net Rentable Area (NRA)	12,533 sf	Year Built	1966
Total # of Units	20 Unit	Year Renovated	2009
Average Unit Size	627 sf	Condition	Average
Floor Count	2	Exterior Finish	Brick Veneer
Property Features	Flat Roofs, Individual Split Systems		
Project Amenities	Courtyard, Laundry Facility		
Unit Amenities	Ceiling Fans, Dishwasher, Garbage Disposal, Granite Countertops, Hardwood Flooring, Range / Oven, Refrigerator, Tub / Shower Combo		

Sale Summary

Recorded Buyer	2300 Park Street LLC	Marketing Time	5 Month(s)
True Buyer	N/A	Buyer Type	Developer
Recorded Seller	SF Drake & Park LLC	Seller Type	Developer
True Seller	Sf Capital, LLC	Primary Verification	Broker
Interest Transferred	Fee Simple/Freehold	Type	Sale
Current Use	Apartment	Date	7/19/2019
Proposed Use	Apartment	Sale Price	\$2,830,000
Listing Broker	Tom Wilkinson	Financing	Cash to Seller
Selling Broker	N/A	Cash Equivalent	\$2,830,000
Doc #	RP-2019-313467	Capital Adjustment	\$0
		Adjusted Price	\$2,830,000

Transaction Summary plus Five-Year CBRE View History

Transaction Date	Transaction Type	Buyer	Seller	Price	Cash Equivalent Price/unit and /sf
07/2019	Sale	2300 Park Street LLC	SF Drake & Park LLC	\$2,830,000	\$141,500 / \$225.80

Sale Residential - Multi-unit Garden No. 2

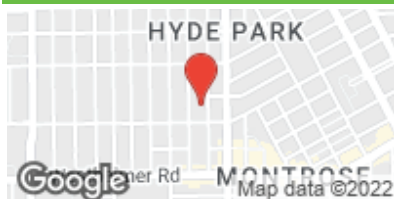
Units of Comparison

Static Analysis Method	Pro Forma (Stabilized)	Eff Gross Inc Mult (EGIM)	9.46
Buyer's Primary Analysis	Static Capitalization Analysis	Op Exp Ratio (OER)	51.11%
Net Initial Yield/Cap. Rate	5.17%	Adjusted Price / sf	\$225.80
Projected IRR	N/A	Adjusted Price / Unit	\$141,500
Actual Occupancy at Sale	100%		

Financial

Revenue Type	Pro Forma Stabilized
Period Ending	12/31/2018
Source	Broker
Price	\$2,830,000
Potential Gross Income	\$311,563
Economic Occupancy	96%
Economic Loss	\$12,463
Effective Gross Income	\$299,100
Expenses	\$152,870
Net Operating Income	\$146,230
NOI / sf	\$11.67
NOI / Unit	\$7,312
EGIM	9.46
OER	51.11%
Net Initial Yield/Cap. Rate	5.17%

Map & Comments



This was an arms-length transaction that involved a 20-unit apartment project in the Montrose area. The property was built in 1966 and renovated in 2009. The property was 100% occupied at the time of sale and has common area laundry room and flat roofs. The analysis reflects adjustments for vacancy, loss to lease, credit loss, other income, franchise tax and \$200 a unit for reserves for replacements. The income and expense figures are derived from the YE 2018 figures.

Sale**Residential - Multi-unit Garden****No. 3**

Property Name Woodland Glen
 Address 300 Pecore Street
 Houston, TX 77009
 United States

Government Tax Agency Harris
 Govt./Tax ID 028-274-000-0010

Unit Mix Detail

Rate Timeframe	Monthly				
Unit Type	No.	%	Size (sf)	Rent	Rent / sf
1 BR/ 1 BA	20	67%	610	\$1,152	\$1.89
2BR/ 1 BA	10	33%	827	\$1,468	\$1.78
Totals/Avg	30			\$1,257	\$1.84

**Improvements**

Land Area	0.600 ac	Status	Existing
Net Rentable Area (NRA)	22,100 sf	Year Built	1962
Total # of Units	30 Unit	Year Renovated	2013
Average Unit Size	737 sf	Condition	Average
Floor Count	2	Exterior Finish	Brick Veneer
Property Features	Exterior Stairwells, Flat Roofs, Gated / Controlled Access, Surface Parking		
Project Amenities	Courtyard		
Unit Amenities	Black Appliances, Ceiling Fans, Granite Countertops, Vinyl Flooring, Washer / Dryer		

Sale Summary

Recorded Buyer	300 Pecore LLC	Marketing Time	2 Month(s)
True Buyer	N/A	Buyer Type	Private Investor
Recorded Seller	Cramer Community Property Trust	Seller Type	Private Investor
True Seller	Gary and Suzanne Cramer	Primary Verification	Broker
Interest Transferred	Fee Simple/Freehold	Type	Sale
Current Use	Apartments	Date	1/8/2020
Proposed Use	Apartment	Sale Price	\$4,280,000
Listing Broker	N/A	Financing	All Cash
Selling Broker	N/A	Cash Equivalent	\$4,280,000
Doc #	RP-2020-9940	Capital Adjustment	\$0
		Adjusted Price	\$4,280,000

Transaction Summary plus Five-Year CBRE View History

Transaction Date	Transaction Type	Buyer	Seller	Price	Cash Equivalent Price/unit and /sf
01/2020	Sale	300 Pecore LLC	Cramer Community Property Trust	\$4,280,000	\$142,667 / \$193.67

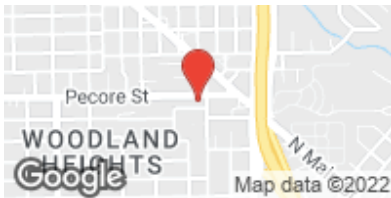
Units of Comparison

Static Analysis Method	Pro Forma (Stabilized)	Eff Gross Inc Mult (EGIM)	9.33
Buyer's Primary Analysis	Static Capitalization Analysis	Op Exp Ratio (OER)	48.97%
Net Initial Yield/Cap. Rate	5.47%	Adjusted Price / sf	\$193.67
Projected IRR	N/A	Adjusted Price / Unit	\$142,667
Actual Occupancy at Sale	97%		

Financial

Revenue Type	Pro Forma Stabilized
Period Ending	1/6/2020
Source	Appraiser
Price	\$4,280,000
Potential Gross Income	\$482,640
Economic Occupancy	95%
Economic Loss	\$24,132
Effective Gross Income	\$458,508
Expenses	\$224,521
Net Operating Income	\$233,987
NOI / sf	\$10.59
NOI / Unit	\$7,800
EGIM	9.33
OER	48.97%
Net Initial Yield/Cap. Rate	5.47%

Map & Comments



This property is located just west of I-45 North near Main street about 3 miles north of the Houston CBD. The property was renovated in 2015, it has flat roofs and both open and covered spaces. This property is located just north of Travis Elementary School.

Sale**Residential - Multi-unit Garden****No. 4**

Property Name Lincoln Galleria Apartments
 Address 2100 Bering Drive
 Houston, TX 77057
 United States

Government Tax Agency Harris
 Govt./Tax ID 117-148-009-0001

Unit Mix Detail

Rate Timeframe	Monthly				
Unit Type	No.	%	Size (sf)	Rent	Rent / sf
1BR,1BA	72	36%	784	\$1,150	\$1.47
1BR,1BA	12	6%	857	\$1,235	\$1.44
1BR,1BA Den	36	18%	920	\$1,315	\$1.43
2BR,2BA	60	30%	973	\$1,365	\$1.40
2BR,2BA	20	10%	1,123	\$1,510	\$1.34
Totals/Avg	200			\$1,285	\$1.42

**Improvements**

Land Area	5.992 ac	Status	Existing
Net Rentable Area (NRA)	180,692 sf	Year Built	1991
Total # of Units	200 Unit	Year Renovated	2021
Average Unit Size	903 sf	Condition	Good
Floor Count	3	Exterior Finish	Brick
Property Features	Carports, Fire Sprinklered, Gated / Controlled Access, Pitched Roofs		
Project Amenities	Barbeque Area, Business Center, Clubhouse, Cyber Café, Decorative water element, Fitness Center, Jacuzzi / Hot Tub, On-Site Security, Playground, Pool		
Unit Amenities	9-Foot Ceilings, Ceiling Fans, Fireplace, In-Unit Storage, Private Patios / Balconies, Vinyl Flooring, Washer / Dryer		

Sale Summary

Recorded Buyer	2100 Bering Apartment Owners LLC	Marketing Time	2 Month(s)
True Buyer	MCRT Investments LLC	Buyer Type	Private Investor
Recorded Seller	Mirage Residential Apartments Property	Seller Type	Private Investor
True Seller	N/A	Primary Verification	PSA
Interest Transferred	Leased Fee	Type	Sale
Current Use	Apartments	Date	4/1/2021
Proposed Use	Apartment	Sale Price	\$30,000,000
Listing Broker	N/A	Financing	Market Rate Financing
Selling Broker	N/A	Cash Equivalent	\$30,000,000
Doc #	RP-2021-171638	Capital Adjustment	\$0
		Adjusted Price	\$30,000,000

Transaction Summary plus Five-Year CBRE View History

Transaction Date	Transaction Type	Buyer	Seller	Price	Cash Equivalent Price/unit and /sf
04/2021	Sale	2100 Bering Apartment Owners LLC	Mirage Residential Apartments Property	\$30,000,000	\$150,000 / \$166.03

Sale Residential - Multi-unit Garden No. 4

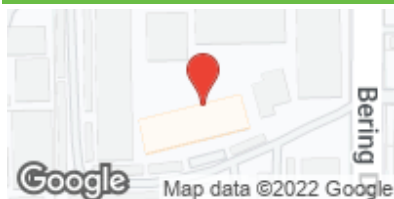
Units of Comparison

Static Analysis Method	Pro Forma (Stabilized)	Eff Gross Inc Mult (EGIM)	9.66
Buyer's Primary Analysis	Static Capitalization Analysis	Op Exp Ratio (OER)	56.51%
Net Initial Yield/Cap. Rate	4.50%	Adjusted Price / sf	\$166.03
Projected IRR	N/A	Adjusted Price / Unit	\$150,000
Actual Occupancy at Sale	93%		

Financial

Revenue Type	Pro Forma Stabilized
Period Ending	4/22/2021
Source	Buyer
Price	\$30,000,000
Potential Gross Income	\$3,339,720
Economic Occupancy	93%
Economic Loss	\$233,780
Effective Gross Income	\$3,105,940
Expenses	\$1,755,159
Net Operating Income	\$1,350,780
NOI / sf	\$7.48
NOI / Unit	\$6,754
EGIM	9.66
OER	56.51%
Net Initial Yield/Cap. Rate	4.50%

Map & Comments



This is a 3 story property located in the Galleria area, it was in good condition at the time of sale as it was renovated in 2008. Tenants are billed for water and sewer via RUBS and hot water was provided by two gas boilers. This property offers fireplaces, stainless steel appliances, free covered parking and a resort style pool area.

Sale

Residential - Multi-unit Garden

No. 5

Property Name The Bammel Apartments
Address 13222 Bammel North Houston
Houston, TX 77066
United States

Government Tax Agency Harris
Govt./Tax ID 140-914-001-0001

Unit Mix Detail

Rate Timeframe	Monthly				
Unit Type	No.	%	Size (sf)	Rent	Rent / sf
1BD / 1BA	52	39%	669	\$975	\$1.46
2BD / 2BA	78	59%	936	\$1,225	\$1.31
2BD / 2BA	2	2%	938	\$1,225	\$1.31
Totals/Avg	132			\$1,127	\$1.36



Improvements

Land Area	3.576 ac	Status	Existing
Net Rentable Area (NRA)	109,672 sf	Year Built	2020
Total # of Units	132 Unit	Year Renovated	N/A
Average Unit Size	831 sf	Condition	Good
Floor Count	3	Exterior Finish	Fiber Cement Board
Property Features	Fire Sprinklered, Gated / Controlled Access, Interior Corridors, Interior Stairwells, On-Site Management, Pitched Roofs, Surface Parking		
Project Amenities	Clubhouse, Courtyard, Fitness Center, Pool, Storage Units		
Unit Amenities	9-Foot Ceilings, Black Appliances, Carpeted Flooring, Granite Countertops, Private Patios / Balconies, Vinyl Flooring, Washer / Dryer Connections		

Sale Summary

Recorded Buyer	WA Bammel, LLC	Marketing Time	2 Month(s)
True Buyer	N/A	Buyer Type	Private Investor
Recorded Seller	Bammel 77066, LLC	Seller Type	Developer
True Seller	N/A	Primary Verification	Contract
Interest Transferred	Leased Fee	Type	Sale
Current Use	Multifamily	Date	7/13/2021
Proposed Use	Multifamily	Sale Price	\$20,555,000
Listing Broker	Ryan Gregory - JLL	Financing	Cash to Seller
Selling Broker	N/A	Cash Equivalent	\$20,555,000
Doc #	RP-2021-592870	Capital Adjustment	\$0
		Adjusted Price	\$20,555,000

Transaction Summary plus Five-Year CBRE View History

Transaction Date	Transaction Type	Buyer	Seller	Price	Cash Equivalent Price/unit and /sf
07/2021	Sale	WA Bammel, LLC	Bammel 77066, LLC	\$20,555,000	\$155,720 / \$187.42

Sale Residential - Multi-unit Garden No. 5

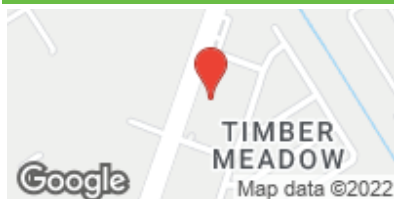
Units of Comparison

Static Analysis Method	Pro Forma (Stabilized)	Eff Gross Inc Mult (EGIM)	10.89
Buyer's Primary Analysis	Price and Capitalization Analyses	Op Exp Ratio (OER)	50.99%
Net Initial Yield/Cap. Rate	4.50%	Adjusted Price / sf	\$187.42
Projected IRR	N/A	Adjusted Price / Unit	\$155,720
Actual Occupancy at Sale	98%		

Financial

Revenue Type	Pro Forma Stabilized
Period Ending	7/28/2021
Source	Buyer
Price	\$20,555,000
Potential Gross Income	\$1,842,979
Economic Occupancy	102%
Economic Loss	\$-45,131
Effective Gross Income	\$1,888,110
Expenses	\$962,764
Net Operating Income	\$925,346
NOI / sf	\$8.44
NOI / Unit	\$7,010
EGIM	10.89
OER	50.99%
Net Initial Yield/Cap. Rate	4.50%

Map & Comments



This property consists of The Bammel apartments located in north Houston. The property contains 132 units with a mix of 1-bedroom and 2-bedroom units. There are four buildings with open-air interior corridors and stairwells. The property is located directly across the street from Klein High School and walking distance to Greenwood Forest Elementary. The property was marketed for sale by JLL. Adjacent uses consist of primarily single-family residential and scattered retail/commercial. The property is a short drive from Beltway 8, Interstate 45, and Highway 249, which provide great access to greater Houston.

Sale**Residential - Multi-unit Garden****No. 6**

Property Name Bella Vista Apartments
 Address 14340 Wallisville Rd
 Houston, TX 77049
 United States

Government Tax Agency Harris
 Govt./Tax ID 138-452-001-0001

Unit Mix Detail

Rate Timeframe	Monthly				
Unit Type	No.	%	Size (sf)	Rent	Rent / sf
1BR/1BA	41	49%	669	\$1,028	\$1.54
2BR/2BA	43	51%	936	\$1,281	\$1.37
Totals/Avg	84			\$1,158	\$1.44

**Improvements**

Land Area	2.000 ac	Status	Existing
Net Rentable Area (NRA)	67,677 sf	Year Built	2018
Total # of Units	84 Unit	Year Renovated	N/A
Average Unit Size	806 sf	Condition	Good
Floor Count	3	Exterior Finish	Fiber Cement Plank
Property Features	Fire Sprinklered, Gated / Controlled Access, Pitched Roofs, Surface Parking		
Project Amenities	Courtyard, Storage Units		
Unit Amenities	9-Foot Ceilings, Black Appliances, Ceiling Fans, Garden Tubs, Granite Countertops, Private Patios / Balconies, Washer / Dryer		

Sale Summary

Recorded Buyer	BV14340 Holdings LLC	Marketing Time	1 Month(s)
True Buyer	Jie Chen	Buyer Type	Private Investor
Recorded Seller	HM Bella Vista Apartments LP	Seller Type	Private Investor
True Seller	N/A	Primary Verification	PSA
Interest Transferred	Leased Fee	Type	Sale
Current Use	Multifamily	Date	12/16/2021
Proposed Use	Multifamily	Sale Price	\$11,500,000
Listing Broker	Tom Wilkinson - KET Enterprises	Financing	Market Rate Financing
Selling Broker	N/A	Cash Equivalent	\$11,500,000
Doc #	2021718268	Capital Adjustment	\$0
		Adjusted Price	\$11,500,000

Transaction Summary plus Five-Year CBRE View History

Transaction Date	Transaction Type	Buyer	Seller	Price	Cash Equivalent Price/unit and /sf
12/2021	Sale	BV14340 Holdings LLC	HM Bella Vista Apartments LP	\$11,500,000	\$136,905 / \$169.92
04/2018	Sale	HM BELLA VISTA APARTMENTS LP	14340 Wallisville, LLC	\$9,300,000	\$110,714 / \$137.42

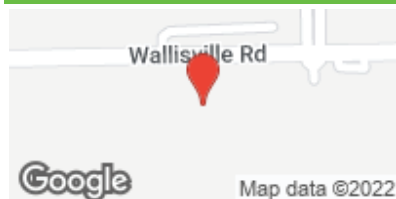
Units of Comparison

Static Analysis Method	Trailing Actuals	Eff Gross Inc Mult (EGIM)	10.73
Buyer's Primary Analysis	Price and Capitalization Analyses	Op Exp Ratio (OER)	49.06%
Net Initial Yield/Cap. Rate	4.75%	Adjusted Price / sf	\$169.92
Projected IRR	N/A	Adjusted Price / Unit	\$136,905
Actual Occupancy at Sale	98%		

Financial

Revenue Type	Trailing Actuals
Period Ending	7/31/2021
Source	Seller
Price	\$11,500,000
Potential Gross Income	\$1,166,772
Economic Occupancy	92%
Economic Loss	\$94,870
Effective Gross Income	\$1,071,902
Expenses	\$525,833
Net Operating Income	\$546,069
NOI / sf	\$8.07
NOI / Unit	\$6,501
EGIM	10.73
OER	49.06%
Net Initial Yield/Cap. Rate	4.75%

Map & Comments



This property consists of Class A- apartments in east Houston along Wallisville Road. The property is a 3-story wrap-around design with a central courtyard area. The property was recently constructed, and unit interiors have Class A finishes with granite countertops; however, the property has limited amenities, and the property is considered to be Class A- overall. The property was completed in mid 2018 and reached stabilization by December 2018. Tice Elementary School and Cunningham Middle School are less than a half-mile to the west. Based on the subject's stabilized trailing actuals, this property is trading at a 4.75% capitalization rate.

Addendum K

RENT COMPARABLE DATA SHEETS

Comparable

Residential - Multi-unit Walk-up

No. 1

Property Name 220 West Alabama
Address 220 W Alabama
Houston, TX 77006
United States

Government Tax Agency Harris
Govt./Tax ID 037-037-001-0001

Unit Mix Detail

Rate Timeframe	Monthly				
Unit Type	No.	%	Size (sf)	Rent	Rent / sf
Efficiency	20	61%	326	\$875	\$2.68
Efficiency	3	9%	356	\$900	\$2.53
1 BR 1 BA	10	30%	456	\$975	\$2.14
Totals/Avg	33			\$908	\$2.47



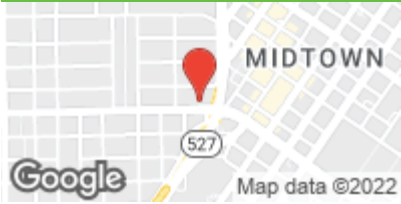
Improvements

Land Area	1.019 ac	Status	Existing
Net Rentable Area (NRA)	12,148 sf	Year Built	1960
Total # of Units	33 Unit	Year Renovated	2018
Average Unit Size	368 sf	Condition	Good
Floor Count	2	Exterior Finish	Brick
Property Features	Flat Roofs, Structured Parking		
Project Amenities	Laundry Facility, Pool		
Unit Amenities	Ceiling Fans, Granite Countertops, Plank Flooring, Stainless Steel Appliances, Tile Backsplash		

Rental Survey

Occupancy	85%	Utilities Included in Rent	Gas
Lease Term	12 - 12 Mo(s).	Rent Premiums	None
Tenant Profile	Mixed	Concessions	Yes 2 Weeks Free
Survey Date	03/2022	Owner	N/A
Survey Notes	N/A	Management	R C M I Group

Map & Comments



Property Name Meyer Oaks
 Address 4600 Beechnut
 Houston, TX 77096
 United States

Government Tax Agency Harris
 Govt./Tax ID 044-036-000-0042

Unit Mix Detail

Rate Timeframe	Monthly				
Unit Type	No.	%	Size (sf)	Rent	Rent / sf
1BR/1BA	16	11%	660	\$967	\$1.47
1BR/1BA	6	4%	730	\$973	\$1.33
1BR/1BA	12	8%	740	\$1,079	\$1.46
1BR/1BA	6	4%	745	\$1,021	\$1.37
1BR/1BA	6	4%	745	\$1,106	\$1.48
1BR/1BA	8	5%	750	\$1,060	\$1.41
1BR/1BA	4	3%	750	\$1,115	\$1.49
1BR/1BA	5	3%	800	\$1,035	\$1.29
1BR/1BA	14	9%	800	\$1,125	\$1.41
1BR/1BA	2	1%	800	\$1,135	\$1.42
2BR/2BA	4	3%	910	\$1,250	\$1.37
2BR/2BA	4	3%	910	\$1,350	\$1.48
2BR/2BA	11	7%	930	\$1,355	\$1.46
2BR/2BA	4	3%	980	\$1,303	\$1.33
2BR/2BA	9	6%	1,050	\$1,387	\$1.32
2BR/2BA	10	7%	1,050	\$1,557	\$1.48
2BR/2BA	13	9%	1,065	\$1,398	\$1.31
2BR/2BA	6	4%	1,085	\$1,395	\$1.29
2BR/2BA	6	4%	1,095	\$1,418	\$1.29
3BR/2BA	4	3%	1,170	\$1,450	\$1.24
3BR/2BA	1	1%	1,400	\$1,714	\$1.22
3BR/2BA	1	1%	1,420	\$1,783	\$1.26
Totals/Avg	152			\$1,224	\$1.38

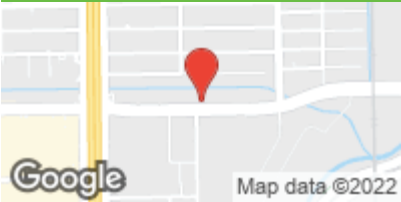
**Improvements**

Land Area	5.234 ac	Status	Existing
Net Rentable Area (NRA)	134,365 sf	Year Built	1966
Total # of Units	152 Unit	Year Renovated	2018
Average Unit Size	884 sf	Condition	Average
Floor Count	3	Exterior Finish	Brick Veneer
Property Features	Carports, Elevators, Exterior Stairwells, On-Site Management, Pitched Roofs, Surface Parking		
Project Amenities	Courtyard, Fitness Center, Laundry Facility, Pool		
Unit Amenities	Black Appliances, Carpeted Flooring, Ceiling Fans, Granite Countertops, Vinyl Flooring, Washer / Dryer Connections		

Rental Survey

Occupancy	96%	Utilities Included in Rent	None
Lease Term	12 Mo(s).	Rent Premiums	None
Tenant Profile	Mixed	Concessions	None
Survey Date	03/2022	Owner	AP Meyer Oaks LP
Survey Notes	Source: Apartmentdata.com	Management	Lizet Cruz - Rockwell Mgmt

Map & Comments



This project was built in 1966 with 152 units and flat roofs. It is in average condition and each unit is billed back for electricity and water usage. Covered parking spaces rent for \$20 per month.

Property Name Morgan Manor
 Address 6815 Academy
 Houston, TX 77025
 United States

Government Tax Agency Harris
 Govt./Tax ID 009-026-000-0074

Unit Mix Detail

Rate Timeframe	Monthly				
Unit Type	No.	%	Size (sf)	Rent	Rent / sf
Efficiency	12	27%	405	\$773	\$1.91
1 BR, 1 BA	28	64%	645	\$891	\$1.38
2 BR, 1 BA	4	9%	881	\$1,028	\$1.17
Totals/Avg	44			\$871	\$1.45

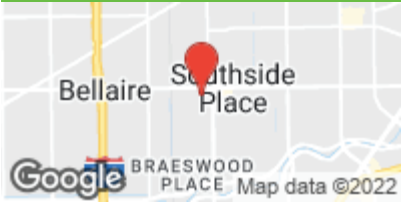
**Improvements**

Land Area	0.000 ac	Status	Existing
Net Rentable Area (NRA)	26,444 sf	Year Built	1972
Total # of Units	44 Unit	Year Renovated	N/A
Average Unit Size	601 sf	Condition	Average
Floor Count	2	Exterior Finish	Brick Veneer
Property Features	N/A		
Project Amenities	Laundry Facility, Pool		
Unit Amenities	Black Appliances, Ceiling Fans, Granite Countertops		

Rental Survey

Occupancy	98%	Utilities Included in Rent	None
Lease Term	12 Mo(s).	Rent Premiums	None
Tenant Profile	Blue Collar	Concessions	None Currently
Survey Date	03/2022	Owner	N/A
Survey Notes	Typical Lease Term: 6-12 months	Management	Morgan Group

Map & Comments



Comparable**Residential - Multi-unit Garden****No. 4**

Property Name Greenbriar Bend
 Address 7000 Greenbriar St
 Houston, TX 77030
 United States

Government Tax Agency Harris
 Govt./Tax ID 062-016-052-0019

Unit Mix Detail

Rate Timeframe	Monthly				
Unit Type	No.	%	Size (sf)	Rent	Rent / sf
1BR/1BA	21	70%	650	\$1,075	\$1.65
1BR/1BA	2	7%	720	\$1,125	\$1.56
2BR/2BA	2	7%	965	\$1,400	\$1.45
2BR/2BA	5	17%	1,015	\$1,450	\$1.43
Totals/Avg	30			\$1,163	\$1.58

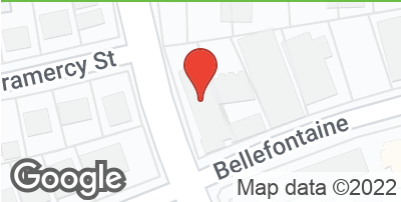
**Improvements**

Land Area	N/A	Status	Existing
Net Rentable Area (NRA)	N/A	Year Built	1973
Total # of Units	30 Units	Year Renovated	N/A
Average Unit Size	737 sf	Condition	Average
Floor Count	3	Exterior Finish	Fiber Cement Board
Property Features	N/A		
Project Amenities	Barbeque Area, Laundry Facility, Pool		
Unit Amenities	N/A		

Rental Survey

Occupancy	97%	Utilities Included in Rent	Gas and Trash
Lease Term	12 Mo(s).	Rent Premiums	None
Tenant Profile	Local	Concessions	None Currently
Survey Date	03/2022	Owner	N/A
Survey Notes	N/A	Management	N/A

Map & Comments



This a 3 story building with flat roofs and it offers carports at no charge. All units have washer/dryers and ceiling fans.

Comparable**Residential - Multi-unit Garden****No. 5**

Property Name Broadmead
 Address 2801 Broadmead
 Houston, TX 77025
 United States

Government Tax Agency Harris
 Govt./Tax ID 044-089-000-0002

Unit Mix Detail

Rate Timeframe	Monthly				
Unit Type	No.	%	Size (sf)	Rent	Rent / sf
1 BR, 1 BA	84	36%	635	\$1,015	\$1.60
1 BR, 1 BA	44	19%	684	\$1,075	\$1.57
1 BR, 1 BA TH	24	10%	768	\$1,150	\$1.50
2 BR, 1 BA	24	10%	850	\$1,250	\$1.47
2 BR, 2 BA	59	25%	965	\$1,420	\$1.47
Totals/Avg	235			\$1,166	\$1.53

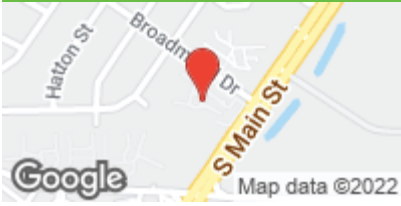
**Improvements**

Land Area	3.642 ac	Status	Existing
Net Rentable Area (NRA)	179,203 sf	Year Built	1979
Total # of Units	235 Unit	Year Renovated	2017
Average Unit Size	763 sf	Condition	Average
Floor Count	2	Exterior Finish	Brick
Property Features	Gated / Controlled Access, On-Site Management		
Project Amenities	Concierge, Laundry Facility, Pool		
Unit Amenities	8-Foot Ceilings, Black Appliances, Fireplace, Private Patios / Balconies, Vinyl Flooring, Washer / Dryer Connections		

Rental Survey

Occupancy	95%	Utilities Included in Rent	None
Lease Term	6 - 13 Mo(s).	Rent Premiums	None
Tenant Profile	Mixed	Concessions	4 Weeks Free with 12 Month Lease
Survey Date	03/2022	Owner	N/A
Survey Notes	Typical Lease Term: 6-13 months	Management	Karya Management

Map & Comments



This is a two-story property built in 1979 with pitched roofs. The property is located inside the Loop 610 at the southwest corner of Broadmead Drive and Main Street. Water/ sewer, gas, trash and electricity is billed to the tenant. All of the units come with washer/dryer connections and selected units feature fireplaces and vaulted ceilings. Washer/dryer rentals lease for \$32 per month. Amenities include: one pool, picnic area, perimeter fence with gated entrance, live-on officers, w/d connections in each unit and two laundry rooms.

Addendum L

OPERATING DATA

Rent Roll

As of 3/4/2022, All rentals, Current leases, All units

Prepared By: 9711 Linkmeadow LLC
3318 Farm to Market Road 365
258
Nederland, TX 77627

Recurring													
Unit	Tenants	Lease Start	Lease End	Bed/Bath	Rent Cycle	Rent Start	Rent	Charges	Credits	Total	Deposits Held	Prepayments	Balance Due
9711 Linkmeadow Lane													
1	Alonzo Poe	10/1/2020	at-will	1 Bed/1 Bath	Monthly	10/1/2020	950.00	950.00	0.00	950.00	0.00	0.00	0.00
2	Natalia Labove, Wayne Norris	11/6/2021	11/30/2022	2 Bed/1 Bath	Monthly	11/6/2021	1,150.00	1,150.00	0.00	1,150.00	750.00	0.00	0.00
3	Yolanda Dixon	11/2/2021	10/31/2022	2 Bed/2 Bath	Monthly	11/2/2021	1,325.00	1,325.00	0.00	1,325.00	1,550.00	1,431.00	1,451.00
4	Adriana Tatmon	12/1/2021	12/31/2022	2 Bed/2 Bath	Monthly	12/1/2021	1,325.00	1,325.00	0.00	1,325.00	1,325.00	0.00	0.00
5	Hector Ignacio, Karla Ignacio	10/15/2021	10/31/2022	2 Bed/2 Bath	Monthly	10/15/2021	1,350.00	1,350.00	0.00	1,350.00	750.00	0.00	0.00
6	Andrea Rodgers	1/7/2022	1/31/2023	3 Bed/1.5 Bath	Monthly	1/7/2022	1,500.00	1,500.00	0.00	1,500.00	1,500.00	0.00	0.00
7	Shequetria Lacy	11/1/2021	10/31/2022	- /1 Bath	Monthly	11/1/2021	800.00	800.00	0.00	800.00	750.00	0.00	800.00
8	Xsana Yusef	10/24/2021	at-will	2 Bed/1 Bath	Monthly	10/24/2021	1,025.00	1,025.00	0.00	1,025.00	0.00	0.00	0.00
9	Lloyd Hughes, Lionel Hughes	11/1/2017	at-will	2 Bed/1 Bath	Monthly	11/1/2017	1,000.00	1,000.00	0.00	1,000.00	0.00	0.00	1,000.00
10	VACANT			3 Bed/2 Bath			--	0.00	0.00	0.00	0.00	0.00	0.00
11	Briana Hernandez	12/8/2021	12/31/2022	2 Bed/1 Bath	Monthly	12/8/2021	1,150.00	1,150.00	0.00	1,150.00	750.00	0.00	0.00
12	Courtney Johnson	3/1/2022	2/28/2023	2 Bed/1 Bath	Monthly	3/1/2022	1,300.00	1,300.00	0.00	1,300.00	1,300.00	0.00	0.00
12B	James Hawkins	10/25/2021	at-will	- /1 Bath	Monthly	10/25/2021	600.00	600.00	0.00	600.00	0.00	0.00	0.00

Rent Roll

As of 3/4/2022, All rentals, Current leases, All units

Prepared By: 9711 Linkmeadow LLC
3318 Farm to Market Road 365
258
Nederland, TX 77627

Recurring											Deposits Held	Prepayments	Balance Due
Unit	Tenants	Lease Start	Lease End	Bed/Bath	Rent Cycle	Rent Start	Rent	Charges	Credits	Total			
13	Angela Franklin	11/1/2021	at-will	3 Bed/2 Bath	Monthly	11/1/2021	900.00	900.00	0.00	900.00	0.00	0.00	0.00
14	Francisco Cortinas, Cindy Ignacio	10/15/2021	10/31/2022	3 Bed/2 Bath	Monthly	10/15/2021	1,600.00	1,600.00	0.00	1,600.00	750.00	0.00	1,620.00
15	Zakiya Saleem	11/1/2021	10/31/2022	2 Bed/2 Bath	Monthly	11/1/2021	1,300.00	1,300.00	0.00	1,300.00	750.00	0.00	0.00
16	jacob reeves	12/1/2021	12/31/2022	2 Bed/2 Bath	Monthly	12/1/2021	1,300.00	1,300.00	0.00	1,300.00	1,300.00	0.00	0.00
17	Aldona Smith	10/15/2021	10/31/2022	1 Bed/1 Bath	Monthly	10/15/2021	1,100.00	1,100.00	0.00	1,100.00	750.00	0.00	0.00
18	Cameron Ward, Khaira Young	11/1/2021	10/31/2022	2 Bed/2 Bath	Monthly	11/1/2021	1,350.00	1,350.00	0.00	1,350.00	2,600.00	0.00	0.00
19	justice cox, Paije Buchanan	11/13/2021	12/31/2022	2 Bed/2 Bath	Monthly	11/13/2021	1,325.00	1,325.00	0.00	1,325.00	750.00	0.00	45.00
20	Agnes Agbor	11/18/2021	12/31/2022	2 Bed/2 Bath	Monthly	11/18/2021	1,325.00	1,325.00	0.00	1,325.00	1,325.00	0.00	1,325.00
Total for 9711 Linkmeadow Lane							\$23,675.00	\$23,675.00	\$0.00	\$23,675.00	\$16,900.00	\$1,431.00	\$6,241.00

Rent Roll

As of 3/4/2022, All rentals, Current leases, All units

Prepared By: 9711 Linkmeadow LLC
3318 Farm to Market Road 365
258
Nederland, TX 77627

Grand totals

	Amount
Market rent	\$21,725.00
Rent	\$23,675.00
Recurring charges	\$23,675.00
Recurring credits	\$0.00
Deposits held	\$16,900.00
Balance due	\$6,241.00

Summary by bed/bath		Occupancy			Square Feet		Market Rent		
Bed/Bath	No. of Units	Vacant	Occupied	% Occupied	Total	Average	Total	Average	Avg./Sq.Ft.
1 Bed/1 Bath	2	0	2	100.00%	1,273	637	2,150.00	1,075.00	1.69
2 Bed/1 Bath	5	0	5	100.00%	3,384	846	5,925.00	1,185.00	1.40
2 Bed/2 Bath	8	0	8	100.00%	7,082	885	7,950.00	1,325.00	1.50
3 Bed/1.5 Bath	1	0	1	100.00%	1,089	1,089	1,400.00	1,400.00	1.29
- /1 Bath	2	0	2	100.00%	395	395	1,400.00	700.00	1.77
3 Bed/2 Bath	3	1	2	66.67%	2,118	1,059	2,900.00	1,450.00	1.37
Totals and averages	21	1	20	95.24%	15,341	852	\$21,725.00	\$1,206.94	\$1.42

Summary by property		Occupancy			Square Feet		Market Rent		
Property	No. of Units	Vacant	Occupied	% Occupied	Total	Average	Total	Average	Avg./Sq.Ft.
9711 Linkmeadow Lane	21	1	20	95.24%	15,341	852	21,725.00	1,206.94	1.42
Totals and averages	21	1	20	95.24%	15,341	852	\$21,725.00	\$1,206.94	\$1.42

7/11 Linkmeadow Occupancy history

	Mar-21		Apr-21		May-21		Jun-21		Jul-21		Aug-21		Sep-21		Oct-21		Nov-21		Dec-21		Jan-22		Feb-22	
	Tenant	Rent	Tenant	Rent	Tenant	Rent	Tenant	Rent	Tenant	Rent	Tenant	Rent	Tenant	Rent	Tenant	Rent	Tenant	Rent	Tenant	Rent	Tenant	Rent	Tenant	Rent
Apt 1	Alonso Poe	\$800.00	Alonso Poe	\$800.00	Alonso Poe	\$800.00	Alonso Poe	\$800.00	Alonso Poe	\$800.00	Alonso Poe	\$800.00	Alonso Poe	\$800.00	Alonso Poe	\$800.00	Alonso Poe	\$950.00	Alonso Poe	\$950.00	Alonso Poe	\$950.00	Alonso Poe	\$950.00
Apt 2	-																Natalia Abreu	\$771.11	Natalia Abreu	\$2,150.00	Natalia Abreu	\$2,150.00	Natalia Abreu	\$2,150.00
Apt 3	-																Yolanda Dixon	\$1,325.00	Yolanda Dixon	\$1,325.00	Yolanda Dixon	\$1,325.00	Yolanda Dixon	\$1,325.00
Apt 4	-																Adriana Tatom	\$1,325.00	Adriana Tatom	\$1,325.00	Adriana Tatom	\$1,325.00	Adriana Tatom	\$1,325.00
Apt 5	-														Hector & Karla Ignacio	\$1,190.00	Hector & Karla Ignacio	\$1,190.00	Hector & Karla Ignacio	\$1,190.00	Hector & Karla Ignacio	\$1,190.00	Hector & Karla Ignacio	\$1,190.00
Apt 6	-																Andrea Rogers	\$1,500.00	Andrea Rogers	\$1,500.00	Andrea Rogers	\$1,500.00	Andrea Rogers	\$1,500.00
Apt 7	-																Shequetria Lacy	\$800.00	Shequetria Lacy	\$800.00	Shequetria Lacy	\$800.00	Shequetria Lacy	\$800.00
Apt 8	Xiana Yusuf	\$975.00	Xiana Yusuf	\$975.00	Xiana Yusuf	\$975.00	Xiana Yusuf	\$975.00	Xiana Yusuf	\$975.00	Xiana Yusuf	\$975.00	Xiana Yusuf	\$975.00	Xiana Yusuf	\$975.00	Xiana Yusuf	\$1,025.00	Xiana Yusuf	\$1,025.00	Xiana Yusuf	\$1,025.00	Xiana Yusuf	\$1,025.00
Apt 9	Lloyd & Lionel Hughes	\$900.00	Lloyd & Lionel Hughes	\$900.00	Lloyd & Lionel Hughes	\$900.00	Lloyd & Lionel Hughes	\$900.00	Lloyd & Lionel Hughes	\$900.00	Lloyd & Lionel Hughes	\$900.00	Lloyd & Lionel Hughes	\$900.00	Lloyd & Lionel Hughes	\$900.00	Lloyd & Lionel Hughes	\$1,000.00	Lloyd & Lionel Hughes	\$1,000.00	Lloyd & Lionel Hughes	\$1,000.00	Lloyd & Lionel Hughes	\$1,000.00
Apt 10	Tim Harmon	\$975.00	Tim Harmon	\$975.00	Tim Harmon	\$975.00	Tim Harmon	\$975.00	Tim Harmon	\$975.00	Tim Harmon	\$975.00	Tim Harmon	\$975.00	Tim Harmon	\$975.00	Tim Harmon	\$975.00	Tim Harmon	\$975.00	Tim Harmon	\$975.00	Tim Harmon	\$975.00
Apt 11																			Briana Hernandez	\$1,150.00	Briana Hernandez	\$1,150.00	Briana Hernandez	\$1,150.00
Apt 12	Ricardo Moya	\$800.00	Ricardo Moya	\$800.00	Ricardo Moya	\$800.00	Ricardo Moya	\$800.00	Ricardo Moya	\$800.00	Ricardo Moya	\$800.00	Ricardo Moya	\$800.00	Ricardo Moya	\$800.00	Ricardo Moya	\$600.00	Ricardo Moya	\$600.00	Ricardo Moya	\$600.00	Ricardo Moya	\$600.00
Apt 12B	James Hawkins	\$600.00	James Hawkins	\$600.00	James Hawkins	\$600.00	James Hawkins	\$600.00	James Hawkins	\$600.00	James Hawkins	\$600.00	James Hawkins	\$600.00	James Hawkins	\$600.00	James Hawkins	\$600.00	James Hawkins	\$600.00	James Hawkins	\$600.00	James Hawkins	\$600.00
Apt 13	Angela Franklin	\$900.00	Angela Franklin	\$900.00	Angela Franklin	\$900.00	Angela Franklin	\$900.00	Angela Franklin	\$900.00	Angela Franklin	\$900.00	Angela Franklin	\$900.00	Angela Franklin	\$900.00	Angela Franklin	\$900.00	Angela Franklin	\$900.00	Angela Franklin	\$900.00	Angela Franklin	\$900.00
Apt 14	-																Cindy Ignacio	\$1,600.00	Cindy Ignacio	\$1,600.00	Cindy Ignacio	\$1,600.00	Cindy Ignacio	\$1,600.00
Apt 15	-																Zakay Saleem	\$1,300.00	Zakay Saleem	\$1,300.00	Zakay Saleem	\$1,300.00	Zakay Saleem	\$1,300.00
Apt 16	-																Jacob Reeves	\$1,300.00	Jacob Reeves	\$1,300.00	Jacob Reeves	\$1,300.00	Jacob Reeves	\$1,300.00
Apt 17	-																Aldona Smith	\$1,100.00	Aldona Smith	\$1,100.00	Aldona Smith	\$1,100.00	Aldona Smith	\$1,100.00
Apt 18	-																Cameron Ward	\$1,150.00	Cameron Ward	\$1,150.00	Cameron Ward	\$1,150.00	Cameron Ward	\$1,150.00
Apt 19	-																Justice Cox	\$1,325.00	Justice Cox	\$1,325.00	Justice Cox	\$1,325.00	Justice Cox	\$1,325.00
Apt 20	-																Amaka Agbor	\$1,325.00	Amaka Agbor	\$1,325.00	Amaka Agbor	\$1,325.00	Amaka Agbor	\$1,325.00
Total Gross Rent		\$5,950.00		\$5,950.00		\$5,950.00		\$5,950.00		\$5,950.00		\$5,150.00		\$5,150.00		\$10,600.00		\$18,996.11		\$20,875.00		\$22,375.00		\$22,375.00

Income Statement Consolidated

2/1/2021 - 2/22/2022, By Month, Accrual basis

All properties and company

	Nov-21	Dec-21	Jan-22	Total (Feb 2021 - Jan 2022)
Income				
Convenience Fee	\$192.98	\$171.50	\$143.26	\$507.74
Late Fee Income		\$185.00	\$345.00	\$530.00
Other Income	\$600.00			\$600.00
Rent Income	\$17,886.98	\$17,665.32	\$20,934.68	\$56,486.98
Utility Income				\$0.00
Total Income	\$18,679.96	\$18,021.82	\$21,422.94	\$58,124.72
Expense				
Advertising		\$81.00		\$81.00
Bank Fees	\$40.00	\$99.00	\$40.00	\$179.00
Cleaning and Maintenance	\$497.12		\$121.78	\$618.90
Insurance	\$1,499.94	\$1,499.94	\$1,499.94	\$4,499.82
Landscaping		\$120.00	\$500.00	\$620.00
Legal and Professional Fees	\$130.00		\$81.00	\$211.00
Management Fees	\$40.00	\$202.00	\$172.46	\$414.46
Other Expenses	\$287.00			\$287.00
Repairs	\$584.25		\$2,602.50	\$3,186.75
Supplies			\$650.16	\$650.16
Electricity	\$993.09	\$488.10	\$537.16	\$2,018.35
Pest Control			\$540.17	\$540.17
Trash Services	\$115.65	\$239.36	\$193.46	\$548.47
Utilities - Other			\$56.07	\$56.07
Water & Sewer	\$566.29	\$797.59	\$1,247.34	\$2,611.22
Total Expense	\$4,753.34	\$3,526.99	\$8,242.04	\$16,522.37
Net Operating Income	\$13,926.62	\$14,494.83	\$13,180.90	\$41,602.35

Addendum M

LEGAL DESCRIPTION

HARRIS COUNTY APPRAISAL DISTRICT
REAL PROPERTY ACCOUNT INFORMATION
0940020000001

Tax Year: 2022



Owner and Property Information										
Owner Name & 9711 LINKMEADOW LLC Mailing Address: 4830 WILSON PMB 1010 RD STE 300 HUMBLE TX 77396-1972						Legal Description: LTS 1 & 2 BLK 6 WOODSIDE PLAZA SEC 3 Property Address: 9711 LINKMEADOW LN # 18 HOUSTON TX 77025				
State Class Code	Land Use Code	Building Class	Total Units	Land Area	Building Area	Net Rentable Area	Neighborhood	Market Area	Map Facet	Key Map ^{1/2}
B1 -- Real, Residential, Multi-Family	8003 -- Land Neighborhood Section 3	E	18	19,200 SF	19,247	0	5933	1709 -- Alameda/ South Main	5254C	532S

Value Status Information

Value Status	Notice Date	Shared CAD
Noticed	04/01/2022	No

Exemptions and Jurisdictions

Exemption Type	Districts	Jurisdictions	Exemption Value	ARB Status	2021 Rate	2022 Rate
None	001	HOUSTON ISD		Not Certified	1.094400	
	040	HARRIS COUNTY		Not Certified	0.376930	
	041	HARRIS CO FLOOD CNTRL		Not Certified	0.033490	
	042	PORT OF HOUSTON AUTHY		Not Certified	0.008720	
	043	HARRIS CO HOSP DIST		Not Certified	0.162210	
	044	HARRIS CO EDUC DEPT		Not Certified	0.004990	
	048	HOU COMMUNITY COLLEGE		Not Certified	0.099092	
	061	CITY OF HOUSTON		Not Certified	0.550830	

Texas law prohibits us from displaying residential photographs, sketches, floor plans, or information indicating the age of a property owner on our website. You can inspect this information or get a copy at [HCAD's information center at 13013 NW Freeway.](#)

Valuations

Value as of January 1, 2021			Value as of January 1, 2022		
	Market	Appraised		Market	Appraised
Land	288,000		Land	288,000	
Improvement	982,817		Improvement	1,079,529	
Total	1,270,817	1,270,817	Total	1,367,529	1,367,529

Land

Market Value Land												
Line	Description	Site Code	Unit Type	Units	Size Factor	Site Factor	Appr O/R Factor	Appr O/R Reason	Total Adj	Unit Price	Adj Unit Price	Value
1	8003 -- Land Neighborhood Section 3	4209	SF	19,200	1.00	1.00	1.00	Corner or Alley	1.00	15.00	15.00	288,000.00

Building

Building	Year Built	Remodeled	Type	Style	Quality	Impr Sq Ft	Building Details

1	1960	2020	Apartment Struct. 4-20 Units	Multiple Res (Low Rise)	Average	19,247	Displayed
---	------	------	---------------------------------	----------------------------	---------	--------	-----------

Building Details (1)

Building Data		Building Areas	
Element	Detail	Description	Area
Cooling Type	Central / Forced	BASE AREA PRI	4,488
Functional Utility	Avg/Normal	BASE AREA PRI	980
Heating Type	Hot Air	AREA MOTEL/DWEL -C	1,622
Partition Type	Normal	BASE AREA PRI	1,960
Physical Condition	Avg/Normal	PORCH, OPEN -C	296
Plumbing Type	Adequate	AREA MOTEL/DWEL -C	1,158
Sprinkler Type	None	BASE AREA UPR	207
Exterior Wall	Brick / Stone	PORCH, OPEN UPR -C	259
Exterior Wall	Frame / Stucco	PORCH, OPEN UPR -C	296
Economic Obsolescence	Normal	BASE AREA UPR	1,622
Market Index Adjustment	100% No Mkt Index Adjustment	BASE AREA UPR	614
Element	Units	PORCH, OPEN UPR -C	210
# Stories	2	BASE AREA UPR	1,960
Wall Height	9	BASE AREA UPR	1,158
Interior Finish Percent	100	BASE AREA UPR	980
Apt: 2-Bedroom Unit	18	BASE AREA UPR	4,488
		PORCH, OPEN -C	259
		PORCH, OPEN -C	112
		BASE AREA PRI	614
		PORCH, OPEN -C	210
		PORCH, OPEN UPR -C	112
		BASE AREA PRI	176

Extra Features

Line	Description	Quality	Condition	Units	Year Built
1	CANOPY ROOF AND SLAB	Average	Average	110.00	1960
2	Porch, Open	Average	Average	860.00	1960
3	Paving - Asphalt	Average	Average	9,000.00	1960
4	Porch, Open Upper	Average	Average	877.00	1960

Addendum N

CLIENT CONTRACT INFORMATION



Laura Stolberg
Senior Business Services Coordinator
CBRE Capital Markets
Debt & Structured Finance

190 Carondelet Plaza, Suite 1400
St. Louis, MO 63105

T +1 314 655 5823

laura.stolberg@cbre.com
www.cbre.com/capitalmarkets

March 1, 2022

Appraiser

CBRE, Inc. | Valuation and Advisory Services
Michael D'Alessandro
Executive Vice President
T +1 312 540 4608
C +1 630 632 8735
michael.dalessandro@cbre.com

Engineer (Physical Risk Report 1104)

CBRE, Inc. | Assessment & Consulting Services
John Doscas
Business Services Manager
T +1 914 740 1955
john.doscas@cbre.com

Saphira Apartments

9711 Linkmeadow Lane
Houston, TX 77044

Year Built/Rehab: 1960/2021

Number of Units: 21

Market: Standard

Loan Purpose: Refi.

Dear Mike and John,

This letter (the "Engagement Letter") confirms our agreement that your firm will provide CBRE Capital Markets, Inc., ("CBRE") with either an Appraisal (Narrative), Physical Risk Report (1104), (Mold/Asbestos/LBP) Operation & Maintenance Plan(s) (the "Report(s)") that meet the requirements of the Freddie Mac ("Freddie Mac") guidelines on the multifamily property referenced above (the "Property").

You expect to deliver the full Report(s) to us upon the following terms:

	Report Type (checked if ordering)	Fee	Due Date
☒	Appraisal Narrative	\$3,500	3/22/2022
☒	B2B XML file required	Included	3/22/2022
☒	Physical Risk Report (1104)	\$3,050	3/22/2022
☒	Mold O&M	Included	3/22/2022
☒	Asbestos O&M	Included	3/22/2022
☒	LBP O&M	Included	3/22/2022
☐	Seismic Report (\$900 if required, Engineer to confirm)		
☒	Other Report: Zoning Letter + Debrief	\$200	3/22/2022

For your services, we agree to pay the above stated fee within 14 days of the receipt of the final Reports. This fee is a flat rate fee, and there will not be additional charges for travel, coping or other expenses. Should the Report(s) not be received in our office by the Due Date, said fee shall be reduced by \$100 for each business day beyond the Due Date until the Report(s) are received. You will act as an independent contractor, and not as an employee or agent of the undersigned.

It is further agreed that the completion of the Report(s) and the inspection of the subject property may not be subcontracted. It is understood that all persons providing significant professional assistance in the preparation of the Report(s) will be identified and their qualifications presented in the Reports. The person or persons who have physically inspected the subject Property must sign the final Report(s).

NARRATIVE shall have the observations and report conducted and written in compliance with the most recent version of the Freddie Mac Multifamily Seller Servicer Guide Chapter 12, the Uniform Standards of Professional Appraisal Practice (USPAP) and the Financial Institutions Reform, Recovery, and Enforcement Act of 1989 (FIRREA), including its Title XI regulations. The appraiser must receive, review and consider how the results of the Physical Risk Report (1104) impact the value of the Property. If problematic materials are found, please provide certification that the problematic materials, equipment and systems were considered in the evaluation of the Property and that such materials do not negatively affect the value of the Property. Problematic materials such as Stab Lok Panel, polybutylene piping, galvanized piping, aluminum wiring, fire-retardant-treated plywood, problem drywall or other building components that historically have performed poorly or have been subject to recalls or class action lawsuits.

Per the Freddie Mac SBL requirement, appraisal reports have a 50-page limit.

PHYSICAL RISK REPORT (1104) shall have the observations and report conducted and written in compliance with the most recent version of the Freddie Mac Multifamily Seller Servicer Guide Chapter 15A Physical Risk Reports Requirements for Small Balance Loan Purchase Product.

Any O&Ms recommended in the Physical Risk Report (1104) shall be delivered. Mold O&M and Asbestos O&M is required for all loans. LBP O&M is required if property built before 1978.

If you do not have access to the most recent version of the Freddie Mac Multifamily Seller Servicer Guide, please request and CBRE will provide you with a copy of the applicable sections. Include resumes listing the applicable qualifications and certifications of the reviewer. Special qualifications apply only to the report reviewer, not the inspector. If an employee does not fully satisfy the qualifications, and you would like CBRE to request a waiver to accept their qualifications, please complete the Equivalent Experience and Expertise Certificate (provided upon request) so that we can present the waiver request to Freddie Mac.

The Report should be addressed to CBRE Capital Markets, Inc. and must include reliance language verbatim as indicated in the Freddie Mac Multifamily Seller Servicer Guide (pasted below for your convenience):

This report is for the use and benefit of, and may be relied upon by,

- a) *CBRE Capital Markets, Inc., Freddie Mac and any successors and assigns ("Lender");*
- b) *independent auditors, accountants, attorneys and other professionals acting on behalf of Lender;*
- c) *governmental agencies having regulatory authority over Lender;*
- d) *designated persons pursuant to an order or legal process of any court or governmental agency;*
- e) *prospective purchasers of the Mortgage; and*
- f) *with respect to any debt (or portion thereof) and/or securities secured, directly or indirectly, by the Property which is the subject of this report, the following parties and their respective successors and assigns:*
 - *any placement agent or broker/dealer and any of their respective affiliates, agents and advisors;*
 - *any initial purchaser or subsequent holder of such debt and/or securities;*
 - *any Servicer or other agent acting on behalf of the holders of such debt and/or securities;*
 - *any indenture trustee;*

- any rating agency; and
- any institutional provider from time to time of any liquidity facility or credit support for such financings

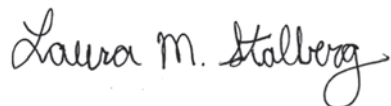
In addition, this report, or a reference to this report, may be included or quoted in any offering circular, information circular, offering memorandum, registration statement, private placement memorandum, prospectus or sales brochure (in either electronic or hard copy format) in connection with a securitization or transaction involving such debt (or portion thereof) and/or securities.

CBRE SUPPLIER CODE OF CONDUCT: CBRE is committed to conducting business with integrity and in a manner consistent with adherence to fundamental ethical, legal and responsible business standards, with utmost regard for our fiduciary responsibilities to our employees, clients and shareholders. This policy requires those who provide CBRE with products or services to embrace CBRE's commitment, and to exercise similar standards and due diligence. The policy is available to external users by clicking the following link: [CBRE Supplier Code of Conduct](#).

Please email draft, final, and invoices to laura.stolberg@cbre.com, ryan.hoover@cbre.com, christine.hickman@cbre.com and ldsf-cagsblclosing@cbre.com. Hard copies are not needed.

Your signature below reflects your agreement with the terms and conditions of this engagement. Please sign and return this Engagement Letter to the address below and keep a copy for your files:

Sincerely,



Laura Stolberg
Senior Business Services Coordinator

Accepted and Agreed:

CBRE, INC. | VALUATION AND ADVISORY SERVICES

By: Mike D'Alessandro, as agent for CBRE, Inc.



Title: Executive Vice President

Date: 3/1/2022

CBRE, INC. | ASSESSMENT & CONSULTING SERVICES

By: John Doscas, as agent for CBRE, Inc.



Title: Business Operations Manager

Date: 3/1/2022

Assessment Relationship Disclosure Letter

1. CBRE Assessment & Consulting Services is a division of CBRE, Inc., a wholly-owned, indirect subsidiary of CBRE Group, Inc. Among other business lines, CBRE Group, Inc. maintains a Debt & Structured Finance group and an independent Property Condition and Environmental Assessment group under the banner CBRE Assessment & Consulting Services. The Debt & Structured Finance business line is conducted through a separate legal entity, CBRE Capital Markets, Inc. and its subsidiaries, each of which is an indirect subsidiary of CBRE Group, Inc. CBRE Assessment & Consulting Services has long been an approved Vendor for CBRE Capital Markets, Inc., as well as numerous other Freddie Mac Seller/Serviceers.
2. The services provided by CBRE Assessment & Consulting Services are conducted independently from the rest of the CBRE Group, Inc. organization and includes procedural controls to protect the flow of information from CBRE Assessment & Consulting Services to any other affiliate or business line of CBRE Group, Inc. Although CBRE Assessment & Consulting Services and CBRE Capital Markets, Inc. (and its subsidiaries) work under a common CBRE Group, Inc. platform, each maintains separate management, files and separate offices. Property Condition and Environmental Assessment reports prepared by CBRE Assessment & Consulting Services are not influenced by any other CBRE Group, Inc. affiliate or division, each report being an independent professional opinion supported by the data included in the report. CBRE Assessment & Consulting Services shares no fees with (or pays any referral fees to) any other CBRE Group, Inc. entity or division, including CBRE Capital Markets, Inc. and its subsidiaries, nor does CBRE Assessment & Consulting Services share any of its work product with any other CBRE Group, Inc. affiliate or division.



Mary Bruno
Manager, Environmental Site Assessment
CBRE, Inc.
Assessment & Consulting Services
200 S Orange Ave, Suite 2100
Orlando, FL 32801
C +1 407 405 6430
mary.bruno@cbre.com
www.cbre.com/assessment



Jeffrey W. Hurley
Managing Director
CBRE Capital Markets, Inc.
929 Gessner Road, Suite 1700
Houston, TX 77024
T +1832 839 5058
C +1 713 828 4482
jeff.hurley@cbre.com
www.cbre.com/capitalmarkets

Addendum O

QUALIFICATIONS

VALUATION AND ADVISORY SERVICES

PROFESSIONAL PROFILE



THOMAS DEAL, MAI

First Vice President

South Central Region

T 713.840.6627

F 713.840.6649

tom.deal@cbre.com

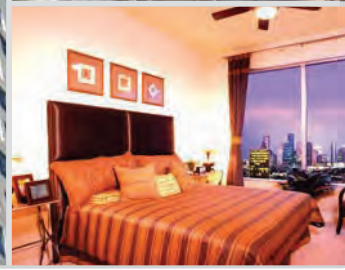
CBRE

Valuation & Advisory Services

2700 Post Oak Blvd., Suite 250

Houston, TX 77056

www.cbre.com/Tom.Deal



THOMAS DEAL, MAI—MULTIFAMILY VALUATION SPECIALIST

Thomas Deal, MAI, is a First Vice President working in the Houston office of Valuation & Advisory Services Group. He has over 25 years of professional experience in real estate appraisal and consulting. He has completed commercial real estate valuations, feasibility studies, rent analyses, litigation and market studies primarily in the states of Texas, Oklahoma and Louisiana. He also engages in direct marketing and client maintenance on behalf of the South Central Region.

Mr. Deal has most recently specialized in the valuation of multifamily properties. He has completed a significant number of these appraisals in Houston and surrounding areas, but also has experience in other locations throughout the U.S. His apartment appraisal experience includes condominiums, high-rise and mid-rise apartments, proposed apartment developments, student housing, mobile home parks, LIHTC and HUD apartments.

PROFESSIONAL AFFILIATIONS & ACCREDITATIONS

- Appraisal Institute, Designated Member (MAI)
- Certified General Real Estate Appraiser, State of Texas, No. TX-1321144-G

CBRE

VALUATION AND ADVISORY SERVICES

PROFESSIONAL PROFILE



THOMAS DEAL, MAI

First Vice President

South Central Region

T 713.840.6627

F 713.840.6649

tom.deal@cbre.com

CBRE

Valuation & Advisory Services

2700 Post Oak Blvd., Suite 250

Houston, TX 77056

www.cbre.com/Tom.Deal

EDUCATION

- Stephen F. Austin University, Nacogdoches, TX, Bachelor of Science in Business

SAMPLE OF RECENT ASSIGNMENTS

Property	Type	Location
▪ 3333 Allen Parkway	High Rise	Houston, Texas
▪ Museum Tower	High Rise	Houston, Texas
▪ One Park Place	High Rise	Houston, Texas
▪ Archstone Medical Center I & II	Multifamily	Houston, Texas
▪ Park Lakes Apartments	Multifamily	Houston, Texas
▪ 9th Avenue Station	Multifamily	Port Arthur, Texas
▪ Indian Springs	Multifamily	El Paso, Texas
▪ Fountainbleu Apartments	Multifamily	Corpus Christi, Texas
▪ The Fountains at San Felipe	Multifamily	Houston, Texas
▪ Colonial Apartments	Multifamily	Corpus Christi, Texas
▪ The Grove at Nacogdoches	Multifamily	Nacogdoches, Texas
▪ Fountain Oaks Apartments	Multifamily	Houston, Texas
▪ Montierra Apartments	Multifamily	Houston, Texas
▪ San Marin	Multifamily	Corpus Chrisit, Texas
▪ Villages of Lake Jackson	Multifamily	Lake Jackson, Texas
▪ Tanglewood Place Apartments	Multifamily	Houston, Texas
▪ Raintree	Multifamily	Lake Jackson, Texas
▪ Oceanfront	Multifamily	Galveston, Texas
▪ Eagles Landing	Multifamily	Beaumont, Texas

CLIENTS

- | | | |
|------------------------|-----------------------|-----------------------------------|
| ▪ Bank of the Ozarks | ▪ Crosson Dannis | ▪ Greystone–Pasadena |
| ▪ Beech Street Capital | ▪ CW Capital | ▪ Harbor Point Capital |
| ▪ Berkadia Commercial | ▪ Deutsche Bank | ▪ Keycorp |
| ▪ CBRE Melody of Texas | ▪ Eaton Vance | ▪ Lennar Partners |
| ▪ CIBC World Markets | ▪ EverBank | ▪ Platinum Bank |
| ▪ Citibank | ▪ Fannie Mae | ▪ Principal Real Estate Investors |
| ▪ Column Financial | ▪ FDIC | |
| ▪ Credit Suisse | ▪ Great Southern Bank | |



QUALIFICATIONS OF

THOMAS M. DEAL, MAI
First Vice President

CBRE, INC.
VALUATION & ADVISORY SERVICES
2700 Post Oak Boulevard, Suite 250
Houston, Texas 77056
(713) 840-6627
tdeal@cbre.com

FORMAL EDUCATION

Stephen F. Austin State University, Nacogdoches, TX
Degree (BBA - Finance)

CONTINUING EDUCATION

All current requirements have been completed for each of the state's certifications as well as the Appraisal Institute for the MAI designation.

LICENSE(S)/CERTIFICATION(S)

Certified Real Estate Appraiser: State of Texas (No. TX-1321144-G)

PROFESSIONAL

Appraisal Institute

Designated Member (MAI), Certificate No. 8100

Other Affiliations

Member Texas Society of Professional Land Managers

EMPLOYMENT EXPERIENCE

Twenty plus years of Real Estate Appraisal and Consulting experience throughout the United States.

1989-Present	CBRE, Inc. Appraisal Services First Vice President	Houston, Texas
1986-1989	Trahan & Partners Real Estate Appraiser	Houston, Texas
1983-1986	Joseph J. Blake & Associates Real Estate Appraiser	Houston, Texas

THOMAS MICHAEL DEAL
2800 POST OAK BLVD STE 500
HOUSTON, TX 77056



Certified General Real Estate Appraiser

Appraiser: **THOMAS MICHAEL DEAL**

License #: **TX 1321144 G**

License Expires: **06/30/2023**

Having provided satisfactory evidence of the qualifications required by the Texas Appraiser Licensing and Certification Act, Occupations Code, Chapter 1103, authorization is granted to use this title:
Certified General Real Estate Appraiser

For additional information or to file a complaint please contact TALCB at www.talcb.texas.gov.

Chelsea Buchholtz
Commissioner

CBRE VALUATION & ADVISORY SERVICES

THOMAS DEAL, MAI

Valuation & Advisory Services

+1 713 8406627

Thomas.Deal@cbre.com

www.cbre.com

Addendum P

APPRAISAL RELATIONSHIP DISCLOSURE LETTER



Effective as of: Date of Report:

APPRAISAL RELATIONSHIP DISCLOSURE LETTER

Among other business lines, CBRE maintains a Debt and Equity Finance group and an independent appraisal group under the banner CBRE Valuations. CBRE Valuations is a division of CBRE, Inc. The Debt and Equity business line is conducted through a separate legal entity, CBRE Capital Markets, Inc. and its subsidiaries, each of which is an indirect subsidiary of CBRE, Inc. CBRE Valuations has long been an approved Vendor for CBRE Capital Markets, Inc., as well as numerous other Freddie Mac Seller/Serviceers.

The services provided by CBRE Valuations are conducted independently from the rest of the CBRE organization, and includes procedural controls to protect the flow of information from CBRE Valuations to any other affiliate or business line of CBRE. Although CBRE Valuations and CBRE Capital Markets, Inc. (and its subsidiaries) work under a common CBRE platform, each maintains separate files and separate offices. Appraisal reports prepared by CBRE Valuations are not influenced by any other CBRE affiliate or division, each being an independent valuation supported by the data included in the report. CBRE Valuations shares no fees with (or pays any referrals fees to) any other CBRE entity or division, including CBRE Capital Markets, Inc. and its subsidiaries, nor does CBRE Valuations share any of its work product with any other CBRE affiliate or division.

A handwritten signature in black ink, reading "Bruce Bailey".

Bruce Bailey, MAI | Managing Director
CBRE | Valuation & Advisory Services
2700 Post Oak Blvd, Suite 250 | Houston, TX 77056
T 713 888 4701 | F 713 840 6649 | C 832 647 8399
bruce.bailey@cbre.com | www.cbre.com

A handwritten signature in blue ink, reading "Jeffrey W. Hurley".

Jeffrey W. Hurley | Managing Director
CBRE Capital Markets, Inc.
2800 Post Oak Blvd, Suite 2100 | Houston, TX 77056
T 713-787-1958 | F 713-787-1995 | C 713-828-4482
jeff.hurley@cbre.com | www.cbre.com/capitalmarkets